Preliminary Economic Feasibility Study to Establish a Therapeutic Tourism Project in the Province of Azraq - Zarqa Governorate

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Executive Summary

The concept of the proposed project is based on establishing a therapeutic tourism project in Zarqa Governorate, in Azraq area in particular. The idea of the Project is stems from the features of the Azraq area, as an attractive tourist location, the climate nature of the area, and a number of desert palaces, located in the desert of the east desert of the Kingdom. Furthermore, it is located on the main road of arrivals to the Kingdom from the Gulf region, in addition to availability of some mineral water wells with therapeutic properties. The project is designed to observe requirements the Arab families from neighboring countries, especially with regard to privacy of the place, through establishing chalets isolated from each other and assigning swimming pools and facilities for women, not mixed.

The therapeutic tourism project will include a health club divided by men and women to observe privacy, where each facility contains a therapeutic pool. The facility is supervised by a natural therapist, to provide ideal services for guests of the Project.

The Project will include, in addition to pools and chalets, a restaurant serves meals to both guests and visitors of the Project. It will be supplemented with playgrounds for children and car parking spaces, to make it a perfect experience for guests, for rest and relaxation. A small complex with some shops will be established for leasing to investors willing to acquire a foothold in tourism projects, to sell souvenirs as well as personal services, such as currency exchange and transfers.

The Project targets the tourist that visits the Azraq area annually, either by transit or sleep over trip to the area to explore the tourist attractions available. In addition to the targeted tourist, the project will target local inhabitants for swimming and using other facilities. The market size was estimated according to the targeted age category and household income category. Similar projects target households with relatively high income, and within the age category 15-49.

Based on the results of the market study of the project, the study was prepared based on market share estimates of the targeted market size, including prices and services charges of the Project, based on the market price with similar services. As the area doesn't include a similar project, wages were estimated commensurate with the services provided by the Project.

Major Results of the Study

- ✓ The Project will provide 30 new job opportunities directly and will contribute in lifting up the standard of living for some families in the governorates, through providing them with a fixed monthly income.
- ✓ The estimated investment cost of this Project is JD 1,257,825. This amount was determined through the fixed assets, which include land, machinery and equipment, vehicles and means of transport, furniture and fixtures, pre-operating expenses and initial working capital. (40%) of the Project will be financed by loans amounting JD 503,130, and the remaining (60%) through self-financing (owners' equity) amounting JD 754,695.

- ✓ The Income Statement of the Project was structured by subtracting expenses from revenue. The retained earnings of the Project were negative throughout all years of the study.
- ✓ The cash flows of the Project are generated from the operational, investment and financing activities. The cash flows at the end of the year are the sum of all cash inflows and outflows, generated from all activities, which will be negative during the years of study, except the first year of operating the Project.
- ✓ The current net value of the Project's cash flows is about JD (1,256,704), which indicates the economic infeasibility of the Project. The Professional Group's team also calculated the internal rate of return (IRR) on investment in order to determine feasibility of the Project economically, where the ratio of IRR is lower than the ratio of weighted average cost of capital (WACC), which is another indicator on infeasibility of the Project economically.
- ✓ The financial indicators indicate that the Project is not profitable and infeasible economically.

1 Chapter I: Jordan Overview

Area[1]:

89,318 km²

Population:

9.5 Million (2015)

Population Growth Rate (2015):

7.9%

Key Economic Indicators (2015)[2]:

- GDP: USD 37.62 Billion
- Inflation Rate: 2.5%
- Unemployment Rate: 13%

1.1 Geographic and Demographic Reality

Jordan sits in the heart of the Middle East region, bordering by Saudi Arabia, Palestine, Iraq, and Syria from the south, west, east and north, respectively. Jordan has access to the Red Sea through Aqaba city, which located on the northern tip of the Gulf of Aqaba. The following table shows the geographic and demographic reality in Jordan[4]:

Table 1.1: View of the Geographic and Demographic Reality in Jordan

	Description
Location	Middle East, bordering by Saudi Arabia, Palestine, Iraq, and Syria from the south, west, east and north, respectively.
Geographic Coordinates	31° North and 36° East
Area	Total Area: 89,318 km² Land Area: 88,778 km² Water Area: 540 km²
Coast line	26 km
Climate	The weather is hot and dry in the summer and nice, humid and rainy in winter (runs from November to April)
Lower and higher heights	Lower height: The Deas Sea, falling 408 m, below sea level. Higher height: Umm Al-Dami summit, with estimated height of 1854 m above sea level
Natural Resources	Phosphate, Potash and Oil Shale

[1] Department of Statistics: Report of main results on general census of population and housing 2015 - Access date (01.08.2016).

[2] World Fact Book (CIA FACTBOOK) https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html - Access date ((01.08.2016)

[3] Department of Statistics - http://dos.gov.jo/dos_home_a/main/archive/unemp/2016/Emp_q2_2016.pdf - Access date ((01.08.2016)

[4] World Fact Book (CIA FACTBOOK) https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html - Access date ((01.08.2016)

Jordan is divided in to 12 governorates (The capital, Balqa, Zarqa, Madaba, Irbid, Mafraq, Jerash, Ajloun, Karak, Tafila, Ma'an, and Aqaba). According to the statistics issued by Department of Statistics for 2015, the population of Jordan reached about 9,559,000 people; the population growth rate in 2015 is 7.9%[5]. The following table shows the population, area and population density[6] of each governorate as follows:

Table 1.2: Population, area and population density for each governorate in the Kingdom

Governorate	Population	Area (km^2)[7]	Population Density
Amman	4,012,100	7,579	530.3
Balqa	493,100	1,119	440.1
Zarqa	1,368,800	4,761	287.5
Madaba	189,192	940	201.9
Irbid	1,775,200	1,572	1,129.4
Mafraq	551,500	26,551	20.8
Jerash	237,700	410	580.1
Ajloun	176,600	420	420.8
Karak	317,500	3,495	90.9
Tafila	96,600	2,209	43.7
Ma'an	144,500	32,832	4.4
Aqaba	188,0700	6,900	27.3
Total	**9,559,000**	**88,778**	**107.7**

[5]Central Bank of Jordan - http://www.cbj.gov.jo/uploads/result_ar.pdf - Access date (01.08.2016).

[6]Department of Statistics - http://dos.gov.jo/dos_home_a/jorfig/2015/3_1.pdf – Access date (03.08.2016).

[7]Department of Statistics - http://dos.gov.jo/dos_home_a/jorfig/2015/2_1.pdf - Access date (03.08.2016).

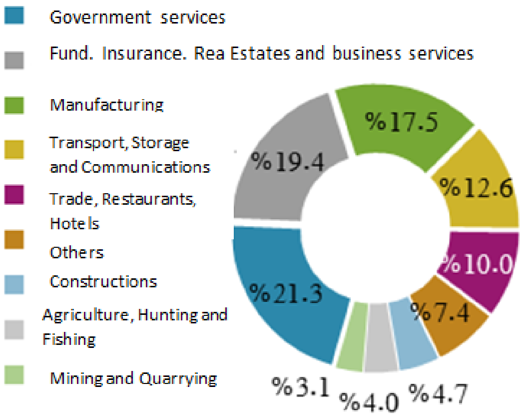

Figure 1: Gross Domestic Product by Economic Sectors

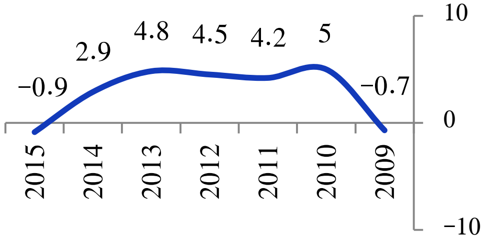

Figure 2: Inflation ratios in Jordan for the period (2009-2015)

The Gross Domestic Product (GDP) in Jordan consists of several sectors, such as agriculture sector, hunting, fishing, mining and quarrying, manufacturing, construction, trade, restaurants and hotels, transport, storage, communications, financial services, insurance, real estates and business services, government services and other sectors. The government services sector has the higher rate, which constitute 21.3% of the GDP. The following figure shows contribution of each sector to the GDP in Jordan for the year 2013[8].
Based on the preliminary estimated of the International Monetary Fund (IMF), the economic growth in Jordan will be accelerated in the coming years, so the growth rate of GDP will be 2.5% in 2015 and 4% in 2021[9].

Inflation

Inflation is defined as a constant increase in price levels in a country, which lead to weakening the purchasing power in that country and high cost of living in general. The importance of knowing the change in inflation rates as an economic indicator in any country is considered as an indicator of economic stability in that country, or ability governments to control the economy through their financial and economic policies. Furthermore, the inflation rate in a country may describe the trade policy of that country and its openness.

According to the information issued by the Department of Statistics on inflation in Jordan, the average consumer prices (inflation) for the first half of 2016 decreased by 1.4% compared with the same period of 2015[10], while the inflation rate reached 2.28% during the years (2013-2015)[11]. The major reasons beyond the changes in inflation rates are: The unemployment rate rises to 13% due structural disparities in the labor market and acquisition of low-paid expatriates, especially the Syrian labor, on great number of new job opportunities in the economy. In the light of declined oil priced and associated services in the global markets, the average consumer price index witnessed a contraction of 0.9% during 2015, compared to 2.9% inflation in 2014. However, at the legislative level, the governments adopted a number of procedures and legislation during 2015, that encouraging investment, enforcing the investment environment and promote the economic growth[12].

[8]Department of Statistics - http://www.dos.gov.jo/dos_home_a/main/economic/nat_account/sel2/nat_6/1.pdf - Access date (02.08.2016).

[9] International Monetary Fund (2016) Database of Global Economic Expectations- http://www.imf.org/external/pubs/ft/weo/2016/01/pdf/text.pdf - Access date (02.08.2016).

[10]Department of Statistics - http://dos.gov.jo/dos_home_a/main/archive/inflation/2016/CPI_July.pdf - Access date (02.08.2016).

[11]Inflation rate for the last three years - Central Bank

[12]Central Bank of Jordan - http://www.cbj.gov.jo/uploads/chapter1_ar.pd - Access date (03.08.2016)

Jordan is one of the leading countries in the region in economic openness experience. In spite of its limited resources, it has managed to improve its economic relationships with the Arab countries and worldwide through concluding a number of agreements, such as the Greater Arab Free Trade Area Agreement (GAFTA), which contributed in facilitating trade exchange between the member countries. Jordan also entered into a partnership agreement with the European Union and a free trade agreement with the United States, in addition to signing a number of agreements to protect and promote investment and prevent double taxation with a number of Arab countries.

According to information from the CIA-World Factbook, the value of Jordan's exports for 2015 was USD 7.882 billion[13], while the value of imports was USD 17.76 billion[14]. Jordan's main exports are clothing, fertilizers, potash, phosphate, vegetables and pharmaceuticals. The main imports are crude oil, refined petroleum products, machinery and equipment, iron and grain. The following table shows a number of free trade agreements, which Jordan currently associated with, according to information from the Ministry of Industry and Trade[15]:

Table 1.3: Free trade agreements with Jordan

Agreement	Signing Date
Greater Arab Free Trade Area (GAFTA)	19/2/1997
Jordanian-European Partnership	24/11/1997
The United States-Jordan Free Trade Agreement	24/10/2000
Free trade Agreement with EFTA States	21/6/2001
Free Trade Area Between the Arab Mediterranean Countries (Agadir)	25/2/2004
Free Trade Area with Singapore	16/5/2005
Free Trade Agreement with Canada	28/6/2009
Free Trade Area Agreement with Turkey	1/12/2009

[13] CIA-World Factbook https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html – Access date (02.08.2016)

[14] CIA-World Factbook https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html – Access date (02.08.2016)

[15] Ministry of Industry and Trade - http://mit.gov.jo/EchoBusV3.0/SystemAssets/PDFs/AR/Publications20%-20%آخر20%202014%السنوي20%التقرير/Copy.pdf - Access date (02.08.2016).

1.2 Investment Environment

Jordan is characterized with its strategic location, since it is located at the confluence of three continents, which are Europe, Asia and Africa. Therefore, it is and ideal gateway to the Middle East, North Africa and beyond. Jordan proves a safe and convenient environment for businessmen and investment. It has an advanced legal system, a world-class infrastructure, an advanced communications system and easy access to markets through international agreements. The Jordanian human resources are also qualified, educated and highly competitive.

The Jordan Investment Commission (JIC) grants incentives to both Jordanians and non-Jordanians represented by exemption customs duties, exemptions from income tax and social services tax, in addition to unrestricted transfer of capital and profits. Based on the information that obtained by the professional team from JIC, the following table shows the annual size of investments benefiting from the Investment Promotion Law for the years (2013-2015)[16]:

Table 1.4: Volume of investments benefited from the Investment Promotion Law for the years (2013-2015) distributed by type of investment and sector

Size of Investments	**2013**			**2014**			**2015**		
Type of Investments	Local Investments	Foreign Investments	Total Investments	Local Investments	Foreign Investments	Total Investments	Local Investments	Foreign Investments	Total Investments
Total (JD)	641,308,372	667,622,569	1,308,930,941	877,480,248	269,027,447	1,146,507,695	810,324,876	2,305,875,885	3,116,200,761

Sector	**2013**	**2014**	**2015**
Industry	1,002,276,880	400,774,797	2,739,801,038
Tourism	142,387,000	94,872,031	71,461,000
Agriculture	19,779,875	187,085,552	105,721,805
Hospitals	34,000,000	270,533,240	48,624,000
Means of Transport	82,000,000	62,188,875	126,044,000
Recreational Cities	27,487,186	99,703,200	15,128,918
Others	1,000,000	25,350,000	9,420,000
Total (JD)	1,308,930,941	1,146,507,695	3,116,200,761

[16] Jordan Investment Commission - 2016

Sector	2013	2014	2015
			(JD)

Sector	2013	2014	2015

There are many reasons that distinguish Jordan, in terms of attracting investments, including[17]:

1. Its unique and strategic location: As previously mentioned, it is located at the confluence of three continents, Europe, Asia and Africa. In addition to its location as a center point in the Middle East area, and its access to the Red Sea through Gulf of Aqaba, and other ports in neighboring countries.
2. Its stable political environment: represented by the wise leadership, which guarantees freedom of believe and opinion, and protection of private property.
3. Its free market economy: The concept of free economy is based on non-intervention by the government in economic activities and leaving the market self-regulated. This is manifested through the constant privatization of large organizations that owned by the government, and tangible progress in the legal and structural reforms.
4. Offering a bundle of incentives and exemptions, aiming to promote investment, including: exemption of projects in any of the sectors for 10 years, of income tax and social services tax by 25%, 50% or 75%, depending on location and sector of Project. In addition to presence of several incentives to encourage investment, which included in the Jordan Investment Promotion Law, under which JIC was established.
5. Its access to the major international markets: Trade agreements with neighboring countries and worldwide facilitate access of the Jordanian products to those countries.
6. Existence of many free zones and industrial cities: The Free Zones Corporation operates five public free zones, and about 30 private free zones. Additionally, there are six industrial cities distributed in the capital and the rest of governorates in the Kingdom.
7. Competent and qualified human resources: according to information provided Ministry of Labor in 2014[18], the Jordanian labor force is estimated at 1.461 million. The labor force in Jordan is expected to increase as a result of the increased percentage of women joined the labor market. The human resources in Jordan are one of the most important resources. Jordan is exporting its labor force to neighbor countries, especially the Arab Gulf, for a long time, contributing significantly in providing a source of income to the country.
8. High level infrastructure, in addition to existence of an advanced communications sector in the Kingdom.

High quality of life: Investor enjoys a relatively low standard of living, high quality private and government education in Arabic, English and French, affordable health service according to the international standards, cultural centers, local and international business associations, developed intercommunicating community, traditional festivals, cultural entertainment and wealth of the archaeological sites, restaurants and entertainment clubs.

[17] http://www.jordan.gov.jo/wps/portal/!ut/p/b1/04_Sj7Q0N7Y0MTU2NdeP0l_KSyzLTE8syczPS8wB8aPM4sMsvS3CvN0NDQwsLF0NPIP8nd1MPX2MHI1N9YMTi_RzoxwVAa9l-HM!/ E-government – Access date (03.08.2016)

[18]Annual report of Ministry of Labor 2014 - http://mol.gov.jo/Documents/التقارير %20السنوية/المكتبة/Taqrer%20Ministry%20Of%20Labour%202014.pdf - Access date (03.08.2016)

1.3 Ease of practicing business

According to information provided by the World Bank, practicing business in Jordan held the following scores on indicators related to business, compared with 190 countries. As shown in the following table, the scored obtained by Jordan in 2018 are better than in 2017 for most of aspects evaluated[19], as Jordan is ranked 103 on the ease of practicing business indicator.

Table 1.5: Rank of Jordan Economy for 2017-2018

Ease of Regulating Business	Rank of Jordan Economy in 2017	Rank of Jordan Economy in 2018	Change in Rank
Starting a business	106	105	1
Obtaining construction licenses	109	110	-1
Access to electricity	48	40	8
Ownership registration	96	72	24
Access to credit facilities	185	159	26
Protecting investors minority	165	146	19
Payment of taxes	79	97	-18
Trade in transit	50	53	-3
Enforcement of contracts	124	118	6
Settlement of insolvency	142	146	-4

[19]World Bank - Measuring business regulation - http://arabic.doingbusiness.org/data/exploreeconomies/jordan/ - Access date (08.01.2018)

1.4 Overview - Azraq Area

1.4.1 Location

Azraq is located in Zarqa Governorate, in the middle of east of Jordan, 100 km east of Amman. The districts of Azraq include the southern Azraq, Al-Omari, Ein Al-Bayda, Al-Mazari', Umm Al-Masayel, Al-Dughaila and Al-Qaedah. Azraq oasis always has been a great importance in the remote and arid part of the region, as it is the only permanent source of fresh water in the desert, with a freshwater aquifer area of 12710 sq. km. Azraq is located on the route of the old trade line, bordered to the north by Syria, from the south by Saudi Arabia and from the east by Iraq.

The area within the eastern desert is characterized by a cold winter and a hot summer climate, and the weather is moderate in spring and autumn. Azraq rises 520 meters from sea level, and the amount of rainfall between 80 to 120 mm yearly.

1.4.2 Administrative and Organizational Divisions

Azraq is located in Zarqa Governorate, belongs to Zarqa Town District and served by the New Municipality of Azraq. It has a population of 15,000. The province includes a mixture of citizens from different backgrounds, such as Druze, Chechens and Bedouins. The Municipality covers three areas: the first area - Northern Azraq and its surroundings, the second area - Southern Azraq and its surroundings, and the third area- borders of Al-Omari. The first area is about 6 km away from the second area and the second area is about 50 km away from the third area, while Azraq is about 80 km away from Zarqa.

Administrative Divisions	Population	Demographic Dependency Rate	Area km^2	Population Density	Below 15 years	15-64	+65
Zarqa Governorate	**1,364,878**	**72.3**	**4761.3**	**287**	**36.6**	**60.1**	**3.3**
Zarqa Town District	**802.265**	**70.0**	**4574.4**	**175**	**38.0**	**58.8**	**3.2**
Zarqa Province	648,882	71.3	259.3	2502	38.3	58.4	3.3
Berain Province	24,683	82.6	160.2	154	42.3	54.8	2.9
Al-Dhulail Province	76,703	54.0	206.6	371	32.9	64.9	2.1
Azraq Province	51,997	62.3	62.3	13	35.8	61.6	2.6

Administrative Divisions	Population	Demographic Dependency Rate	Area km^2	Population Density	Below 15 years	15-64	+65
Al Rusaifa	481,900	76.5	44.4	10854	40.6	56.7	2.7
Al Hashimya	80,713	70.8	142.4	567	38.6	58.6	2.8
Kingdom's Level	9,531,712	68.2	88,793.5	107	37.3	59.4	3.3

1.4.3 Demographics

The percentage of Azraq people is 3.8% of the population of Zarqa Governorate. The proportion of young people is large, especially the age category 15-49, which form about 52.7% of the population, as for distribution by gender, about 52.2% males and 47.8% females. The unemployment rate is about 40%, among them 25% males and about 65% females. The average per capita income is about JD 300, while distribution of employment among the economic sectors[20], about 10% of them works in civil public sector, while 12% in the armed forces and about 5% in the private sector and the rest works in other economic sectors, such as retail, cell phone shops, clothing stores and rest houses. Azraq town includes one of the largest Syrian refugees camp, which hosting at least 34,918 Syrian refugees. Azraq Province has been identified by the Ministry of Planning and International Cooperation as one of the poverty pockets in Jordan for 2010, where poverty rate in the province is between 30-40%, due to high unemployment rate and lack of job opportunities, in addition to hosting one of the largest Syrian refugees camp (Azraq Camp), which increased demand for housing units and services, and led to significant increase in prices of rents, real estate and services, which increased during the years 2011-2014 by about 130%[21]. There is very little economic participation by females in economic activity, because of lack of employment opportunities attractive to females in Azraq.

[20] Zarqa Government Profile, Aljidara Company, 2014
[21] Development Program of Zarqa Governorate 2013-2016, the Ministry of Planning

1.4.4 Public Services

Transportation: In general, there is a road network in the area that the Municipality works on maintaining and enhancing it in commensurate with the budget. Azraq road network links Amman, Zarqa, Iraq and Saudi Arabia, and the work currently in process to construct a road to link Azraq with northern Syria. There are 18 buses in the area distributed throughout the Municipality but there is no bus station within the municipal boundaries. The base of Martyr Mowaffaq Al-Salti is located in Azraq, and Queen Alia International Airport is the nearest airport to the Municipality, which is about an hour and a half away. There is no railway station or railway in the area.

Health Care: There are two governmental health centers in the area, one of which is a comprehensive health center belong to the Ministry of Health, and the other one is a military health center belongs to the Armed Forces. There are also some pharmacies and private clinics in the area, as well as four dental clinics, one in each health center, and two private clinics. There are two primary health centers in the refugee camp. A field hospital for operations and maternity services has been closed, but is scheduled to reopen in 2016. The average number of births per month is 52 infants.

Public Security: There is one police station and one fire department in the area.

Solid Waste: The Municipality collects solid and liquid waste and transfers it to a landfill about six km from Azraq. Although most of solid waste is collected on a daily basis, there is an urgent need to improve the waste collection process, due to the Syrian refugees' crises and old equipment. According to the development plan of Zarqa Governorate, the Cooperative Services Council is financing the rehabilitation project of the landfill site.

Sewage Treatment: There are no sewage networks in Azraq, and all houses and industries reply on cesspits for disposal of wastewater, which has a negative impact on the environment in general and the Azraq aquifer in particular.

Water: The area has a large water network covering 90% of the Municipality's areas and provides services to about 1500 subscribers. The loss rate is very low, which is 10% compared with 49% at the national level. The refugee camp has good quality water. The average water supply is 650 m^3 per day and is supplied through 17 tankers, and the water is distributed from a supply network of 26 sets of taps.

Energy: The electricity network covers more than 95% of the area and provides services to about 4,000 subscribers. The area has a broadband internet network. According to a report in the Jordan Times (November 28, 2015), the Royal Court is financing and executing a solar project in Azraq, which planned to produced 570 kw of electricity. It is not clear if the station will be established in the Municipality or in the refugee camp. As for the refugee camp, a study was conducted to provide electricity by 1kw/hour per day to every residential unit, enabling operation of lighting, refrigerators, TVs, fans and charging cell phones. At the beginning of 2016, a solar power station was installed to reduce cost of electricity. The UNHCR has installed 472 solar-powered lighting poles, as well as distributing about four solar lights per residential unit.

Educational Opportunities: Azraq has 11 public schools, including a military school. The schools include 3,000 students, and there are no private schools in the area. The average number of students per classroom is about 22 and about 12 students per schoolteacher. The percentage of female students is 51% while percentage of male students is 49%. There are two kindergartens in the area. Azraq has no vocational training institutes, colleges or universities, but there are two public libraries. The nearest vocational training center belongs to the vocational training institute in Al Hashimiya. According to its website, Azraq is linked with Al Hashmiyeh through an electronic recruitment system, which the Municipality should explore more widely. Furthermore, the Ministry of Labor has launched a 12-month training program for restaurant employees, which the Municipality should also explore further. There is one educational complex in the refugee camp, which provides primary and secondary education and operates two shifts, morning shit for females and evening shit for males. The number of registered students is 2,600 students, while 1,700 students attend to school. The camp has a children's nursery, which provides services for about 400 children.

Cultural and Recreational Opportunities: The area includes youth and entertainment centers, and there are many public parks that provide basic recreational services, but there are no green public spaces for hiking and trekking. Azraq also has important national reserves under the management of the Royal Society for the Conservation of Nature (RSCN), such as the Southern Azraq Aquatic Reserve in the Southern Azraq and the Shaumari Reserve, only 10 km south of the Municipality of Azraq. Work currently under way to establish the Rajel Reserve. These reserves represent important resources not only for tourists but also for local inhabitants.

The refugee camp has four gardens and three multi-use sports fields, and community centers have also been established.

Economic Activities and Jobs: Majority of the Municipality's inhabitants work in the public sector, simple industries, tourism, and agriculture. The United Company for Creativity employs 109 women from Azraq, and the company is creating a second branch to employ 320 other women.

Land Use: There is no comprehensive plan or chart to guide investors towards appropriate areas and investment opportunities, whether on private or government lands. As with all municipalities, there is a form of division, which is periodically updated by the Ministry of Municipal Affairs. The Municipality has several assets consisting of 19 plots of land, 12 buildings (4,937 sq m) and 20 units of equipment. The total area of land is 260 donums, which is the Municipality has used most of them, including the municipal buildings on an area of 100 donums, yet there is still land available for investment.

Agricultural and Forest Areas: The arable land area is estimated at about 290,000 donums, 27% of which are occupied by 680 farms. This land is irrigated by 909 wells, and the area is characterized by salinity. Crops include field crops, fodder, olive trees, grapes, palms and other fruits and vegetables. The area of palm trees is about 3,000 donums with an annual production of 1,150 tons. The area also includes livestock farms, including cattle, sheep and goats, as well as poultry and apiaries. The area of pastures is about 100,000 donums, while the area of forest land is about 51,000 donums. There is a future opportunity to grow crops that don't require much water (increasing cultivation of fodder, barely and perhaps corn and cannabis).

Commercial and Industrial Areas: Commercial activities in the area are limited to small shops, groceries, clothing, accessories, hairdressing salons, restaurants, bakeries, etc., which are distributed throughout the area. These shops meet the basic needs of the local inhabitants and provide services to transit travelers by the region, where Azraq is a transit point for trade. Economic activities are also modest, despite the existence of raw materials, such as salt. Factories are limited to small factories, plants and workshops, including ice factories, sweetshops, sewing shops, construction plants and brick plants.

Nearby Tourist Activities: Azraq region has a young community (80% between the ages of 0-39 years old), and it is rich in tourist heritage, whether cultural sites or natural sites. There is also a great opportunity to find tourism that combines cultural, environmental and agricultural aspects along with promotion, taking into account the integration of renewable energy and environmental conservation practices in each decision. Establishment of a small tourist training center in Azraq will serve the sector and the local inhabitants.

Historical sites in Azraq date back to the Stone Age, and activities dating back to the Nabataeans were documented. There are hundreds of geoglyphs and large stone-shaped structures dating from at least 2,000 years ago. The famous Azraq Palace was built in the Roman era in the third century BC and witnessed many modifications by the Mamluks. According to the plan of Zarqa Governorate, maintenance work is planned for both the Azraq Palace and Al-Hallabat. There are also ancient sites in Azraq belonging to the Umayyads. The Azraq Palace was the headquarters of Thomas Edward Lawrence during the great Arab Revolution at the beginning of the 20th Century. The Tourism Promotion Authority and the local tourism companies included the site within the cultural tours of the desert palaces. The Tourism Promotion Authority also promotes natural or environmental tourism in Azraq, including the Azraq Water Reserve and Shaumari Reserve. Facilities at the water reserve includes a visitor center, which offer an overview on the reserve and includes a lecture space, an aquarium, a bookshop and locally made gifts. There is also a parallel path to the lake, which includes a Roman wall and a hidden birdwatching area.

The Shaumari Reserve, which is open all year round, is a center for breeding of endangered wild animals in Jordan, such as Arabian Oryx, ostriches, nectar and desert deer. The reserve provides protection from hunting and destruction of natural habitats. The reserve also includes a variety of desert plants. The facilities include a tourist information center, a small museum and a shop selling locally made products, such as colored ostrich eggs. There is also a small picnic area, a small zoo, a control tower and camping area with 10 tents for up to 40 persons. Visitors can take a safari ride aboard the RSCN. Work is under way to establish a new reserve under the name Rajel.

There is only one hotel in Azraq listed on the website "Trip Advisor" which is Jawabreh Hotel and Suites (3 stars).

1.4.5 Vision and Mission the Municipality of Azraq

The Azraq Community formulated the vision and mission below:

The Vision

"A leading town attracting tourism, industrial and agricultural investments in partnership with the local community and the private sector based on the principles of rational governance".

The Mission

Creating an attractive investment environment that promotes economic and service life, and develops the investment climate in the economic sectors, based on comparative competitive advantage, through optimal planning of resources and in partnership and interacting with the public and private sectors and local community institutions.

1.4.6 Local Economic Development Planning and Investment Opportunities

During the process of involving stakeholders, a number of priorities were identified to pave the way towards economic growth and development. A wide range of the priorities focused on reinforcing performance of the Municipality as an entity. These priorities were reviewed in Part V of this document. In this section, the investment priorities and economic development identified during the process will be highlighted. Under the second phase of the preparation of the local economic development plan, further sectorial analysis will be needed to understand nature of the sub-sectors, value chain and value-added opportunities.

Azraq is located near the capital Amman, where land and costs of living are low, young workforce is available and there is adequate infrastructure in some areas. Azraq is located on the tourist path of desert palaces. The Municipality is ready to play the role of "deal maker" and to cooperate with investors from the private sector, which may include other incentives, such as plots of land, discussing permit fees, water charges and others. Currently, there is no tax exemption outside the free zone in Jordan, but tax incentives maybe provided in the future.

The consultation process with stakeholders revealed the potential sectors of development: tourism development, fertilizer industries and value added agricultural services. The Municipality has identified a number of potential investment opportunities that will contribute in creating jobs, increase municipal revenue to provide better services and improve quality of life of the local community.

Detailed cards were provided to describe the following investment projects in Annex II (which participants referred to as quick-win projects):

- Organic and chemical fertilizer factory
- Integrated tourism project
- Vegetable and fruit cooling warehouses
- The project of seasonal exhibition of Azraq industrial, agricultural and tourist products.

Promote the tourism potential of the Municipality of Azraq: Promotion of the region's tourism potential is one of the most important elements of Azraq, as the sector offers a great potential for driving the local economy. Local and foreign tourists visit the area to explore the desert palaces, Azraq Oasis and the Shaumari Wildlife Reserve. The Municipality may facilitate provision and promotion of new products, as well as provision of auxiliary services and value-added services that help prolong stay of tourists in the Municipality and increase the number of local and foreign visitors. In the second phase of the planning process for local economic development, a detailed assessment will be conducted on categories of domestic and foreign tourists who are interested in visiting Azraq.

The participants referred to establishment of an integrated tourism project, as an investment for quick profit, which was highlighted in the appendix of investment project cards. The project includes a number of investments in the field of developing tourism products, such as establishment of lodging, food and beverage venues, also setup of cultural and natural activities (desert safaris, camel riding, hiking trails, nighttime astronomy, music and folk dance).

There is a need to prepare a feasibility study, to identify target markets and effectiveness of products in tourism development. It is also important to develop effective hospitality, management and operational training programs. Local operators and producers should learn how to organize exciting and interesting tours for visitors that are environmentally friendly with cultural and local dimension and suitability for foreign tourists.

Improve competitiveness and value of agricultural products and livestock products: Azraq has no suitable climate and soil for agriculture, and its agricultural products are not competitive in the market. Participants noted that the absence of cooling warehousing is the main cause of poor quality in the market. In the second phase of the local economic development planning process, detailed analysis for the existing agricultural products will be carried out, to identify the value-added services and products that may accelerate economic development. As an investment opportunity to realize rapid profit and improve quality of products, and thus competitiveness in the domestic and foreign markets, The Municipality of Azraq pointed the need to construct refrigerated warehouses for storage and quality of agricultural products. The Project will enable competitiveness of agricultural products at the national level, as well as meet the international export standards.

The involvement of stakeholders has revealed the need to establish a plant for organic and chemical fertilizers for disposal and recycling of livestock's waste in the value chain. The high value fertilizers will support local farmers, while chemical fertilizers will be manufactured and sold to Arab markets.

Support independency in access to energy and environment friendly investments: The participants in Azraq expressed their interest in sustainable and environment friendly investments in the long term. A solar system has been proposed as an investment project to realize quick profit, which will save energy and reduce electricity costs.

Labor force development: The development of labor force must contribute to better preparation of employment in line with the needs of labor market. The qualified workforce works to enhance success of business and industry sectors, thus contributing to economy stability. To support women's participation in labor market, the Municipality will provide women with the necessary training and guidance opportunities. The Municipality also indicated to establishing care centers as potential investment opportunities, to support women's participation in the labor market.

In order to attract young people to labor force, the Municipality, in partnership with the private sector, can provide domestic job training opportunities, which will not only improve availability of qualified workforce, but also provide young people with the income needed to bridge the gap created by lack of vocational training. This may have a particularly effective impact in the industrial training aspects, food processing and emerging industries, where there is a need to break cultural constrains related to provision of service.

Household projects: Supporting household projects contributes to facilitating women's economic opportunities and participation, as well as encouraging young entrepreneurs to continue their efforts to establish businesses and benefit from the development opportunities, by reducing the financial burden on small and medium enterprises, thus contributing to promote competitiveness in the market. The Municipality should target the inhabitants with focusing on women and young people, in order to reinforce awareness about formalizing their household work or emerging business.

Preparation of the Local Development Unit (LDU) to become more efficient in planning, preparing and managing partnerships between both public and private sectors: To support establishment of investment projects, identified in this strategy, the Economic Development Unit (EDU) should be prepared to plan, manage, and control public-private partnerships. This will include preparation of a guide for public-private partnership and provision of the necessary training for the staff of the Municipality and in the development units in the governorate in particular.

Action Plan	Implementation Partners	Executing Party	Timeframe	Cost/Financing in JD
Conducting a detailed assessment of the sectors and value chain and identify investment opportunities in the medium and long term, and the added values in the following sectors: • Agriculture Sector • Tourism Sector	Consultant, donators and private sector	The Municipality	2016-2017	50,000
Identify and create guidance opportunities for women	Private sector	The Municipality	2016-2017	---
Prepare and manage domestic job training opportunities with the private sector	Private sector	The Municipality	2016-2017	---
Setup a training program on how to prepare, manage and control public-private partnerships to work staff of the Municipality	USAID Local Enterprise support project (LENS), Ministry of Municipal Affairs	The Municipality	2016	30,000
Facilitate investment opportunities that realize quick profit with the private sector (investment projects as identified by the Municipality)				
Construction of a solar system	Ministry of Municipal Affairs, Cities and Villages Development Bank and private sector	The Municipality	2016-2017	900,000
Vegetables and fruit refrigerating warehouses	Ministry of Municipal Affairs, Cities and Villages Development Bank and private sector	The Municipality	2016-2017	500,000
Organic and chemical fertilizers factory	Ministry of Municipal Affairs, Cities and Villages Development Bank and private sector	The Municipality	2016-2017	1,500,000

Action Plan	Implementation Partners	Executing Party	Timeframe	Cost/Financing in JD
Integrated tourism project	Ministry of Municipal Affairs, Cities and Villages Development Bank, private sector, Jordan Investment Commission (JIC), Jordan Tourism Board, Ministry of Tourism	The Municipality	2016-2017	----
The project of seasonal exhibition of Azraq industrial, agricultural and tourist products	Chamber of Industry and Trade, Ministry of Tourism, Ministry of Industry and Trade, Iradah	The Municipality	2016-2017	50,000

1.4.7 Action Plan of Enhancing Municipal Performance for Local Economic Development

Analysis of strengths, weakness, opportunities and threats identified a number of institutional challenges that the Municipality must address before implementing the local economic development plan. The action plan focused on procedures that would reinforce capacity of the Municipality to plan for local economic development, in particular:

- Effective planning for land utilization and development of the bases and systems of decision making related to land utilization.
- Enhancing the organizational structure and administrative framework.
- Improving the infrastructure of IT and capabilities in the Municipality's Offices.
- Improving the financial performance and revenues of the Municipality.
- Establishment of a regional partnership council for mutual benefit with the regional municipalities and local development units in the Municipality and LDUs in the Governorate.

First Target: Effective planning for land utilization and development of the bases and systems of decision making related to land utilization					
Activity	**Description**	**Implementation Partners**	**Executing Party**	**Cost/Financing in JD**	**Timeframe**
Preparation of a comprehensive plan and a map of the land	Demonstrate specific types of land utilization within planned or divided areas for different types of investments. Highlight the unified land areas or land for one ownership.	Ministry of Municipal Affairs	The Municipality	350,000	2016-2017
Land Acquisition: identification of plots and major development communities for investment	Identification of plots OWNED BY THE Municipality, so that representatives of the private sector will communicate with the owners, if they are interested in discussing future development opportunities, in addition to explore expansion of existing industries and related industrial and commercial needs. Jordan's 2025 strategy adopts a community-	Ministry of Municipal Affairs, Cities and Villages Development Bank	The Municipality	300,000 (60,000 annually)	2016-2020

	based approach to expand existing industries and identify the supportive industries in adjacent areas.				
Prepare a guide for approvals	The guide demonstrates for investors, local businesses, small and medium companies the development process, including types of plans to be submitted, fees, staff and board review, approval processes, licensing processes and site ownership. Development of a bidding system that links approval on density/floor area ratio with community improvements (e.g. extension of sewer lines or water).	Ministry of Municipal Affairs	The Municipality	50,000	2016-2018
Second Target: Enhancing the organizational structure and administrative framework					
Activity	**Description**	**Implementation Partners**	**Executing Party**	**Cost/Financing in JD**	**Timeframe**
Developing the organizational structure of the Municipality, LDU and responsibilities of staff	This will clarify the purpose of the LDU and division of responsibilities, as well as provide a clear, updated action plan and supportive budget. This will define the structure of LDU, rolls of staff, responsibilities and qualifications.	Ministry of Municipal Affairs	The Municipality	20,000	2016
Developing a training program for staff	This will require holding reciprocal training programs with other municipalities in fields of financing, administration, HR and IT.	Ministry of Municipal Affairs	The Municipality with support of a consultant	100,000	2016-2017
Reinforcing external capabilities of staff (technical skills related to investments)	Improve communication with citizens, investors, government and project cycle management, including feasibility studies.	Ministry of Municipal Affairs, chamber of industry and Investment and JIC	The Municipality	10,000	2016-2017
Establish a tracking and assessment system to follow-up	Provide information on the results to the Council, the Governorate, the Ministry of	Ministry of Municipal Affairs	The Municipality	50,000	2017-2018

the methodology	Municipal Affairs, the Ministry of Communication and Information Technology, donors and others.				
Third Target: Improving the infrastructure of IT and presence of the Municipality on internet					
Website development	Improve transparency and sharing information with the community and investors	Ministry of Municipal Affairs	The Municipality with support of a consultant	5,000	2016
Developing a computerized system (hardware and software) for all the Municipality's works (finance, HR and others)	This will improve efficiency and effectiveness of the Municipality and will improve the data collection process, HR functions, funding and information sharing capabilities. This also will include provision of hardware and software for the Graphic Information System (GIS). The system will ensure connectivity of municipalities' systems with each other.	Ministry of Municipal Affairs	The Municipality	65,000	2016-2017
Developing a clear and effective virtualization process for licensing and reviewing	It will be linked with the approvals guide, to provide a comprehensive understanding of investors' responsibilities, save time and money, and enhance efficiency of organizing the administrative and financial aspects.	Ministry of Municipal Affairs	The Municipality with support of a consultant	50,000	2016-2017
Forth Target: Improving the financial performance and revenues of the Municipality					
Assessment and construction of facilities and buildings within the municipal boundaries	Preparation of a list of facilities and buildings and increasing revenue from taxes of real estates	Ministry of Municipal Affairs	The Municipality	50,000	2016-2018
Launch awareness campaigns to motivate people to pay fines and taxes	The campaign will focus on the role of the Municipality towards its citizens and the citizens in return. The campaign will help raise awareness of citizens about the importance of paying fines and taxes.	Ministry of Municipal Affairs and an entity to organize launching campaigns	The Municipality	20,000	2016-2020
Setup a mechanism to prepare	Reinforcing the creditworthiness of	Cities and Villages	The Municipality	50,000	2016-2017

the balance sheet in compliance with the international standards	municipalities and empowering them through appropriate public financial management tools that work on controlling the overall level of revenue and expenditures, mobilize public resources across sectors and programs, and ensure highest level of efficiency in municipal performance.	Development Bank	and the Ministry of Municipal Affairs		
Enforcement of law and facilitate procedures of collecting debts and receivables through easy installment programs	Increase income of the Municipality	Ministry of Municipal Affairs and Ministry of Justice	The Municipality		2017-2018
Reform of laws to impose fines of industrial pollution	Reform of laws, conservation of the environment and increase municipal revenue	Ministry of Municipal Affairs, Prime Minister, Ministry of Justice	The Municipality		2016-2018
Fifth Target: Establishment of a regional partnership council for mutual benefit with the regional municipalities and LDUs in the Municipality and LDUs in the Governorate					
Activity	**Results**	**Implementation Partners**	**Executing Party**	**Cost/Financing in JD**	**Timeframe**
Prepare an action plan and a budget to establish the Regional Partnership Council	Enhanced support at the national level	Ministry of Municipal Affairs	The Municipality	To be specified later on	2016-2020
Preparing an investment map in partnership with the JIC and regional promotional campaigns	Enhance clarity before investors	Ministry of Municipal Affairs, JIC, LDU of the Governorate and Chamber of Trade and Industry	The Municipality	100,000	2017-2018
Prepare and implement a survey for investors	Improve observation of strategy success or existence of gaps	Ministry of Municipal Affairs	The Municipality	To be specified later on	2016-2020

Organizing regional events to collect donations	Promote municipal revenue and promote awareness and local participation in promoting of economic development.	Ministry of Municipal Affairs, JIC, local and national related parties and private sector	The Municipality	To be specified later on	2016-2020

The Public-Private Partnership Council aims to reduce bureaucratic obstacles and actively encourage economic development by creating an investment culture. The responsibilities of the Council will include assistance of the Municipality in the following functions:

- Defining the budget to provide new or improved services to citizens that have regional impacts, such as improving capital and infrastructure.
- Defining and attracting investors and projects.
- Work with schools, vocational universities, projects, and local industries to setup a guidance training program to employ workforce, males and females.
- Work with donators and JIC to find and enhance an adequate environment for businesses.
- Work with local communities to develop an adequate brand for businesses to continue promoting for the area to maintain and expand the existing projects and attract new projects.
- Forming a strong political power and working with the ministries and government in Amman to setup clearer policies for municipal revenue and incentives program for investors and domestic projects, aimed to enhancing economic participation of women.

The council will seek to attract wide participation, including mayors, representatives of the LDU, Chambers of trade and Industry, representatives of major regional companies and banking and financial institutions. Representatives of educational institutes, non-government organization, communit-based organizations and ministries at the national level will also form part of the Council.

Chapter II: Market Analysis

2.1 Project Description

Azraq area in the east of the Hashemite Kingdom of Jordan includes a number of desert palaces, such as Harranah Palace on the road between Amman and Azraq City, and Azraq Palace located on the southern entrance to Azraq City, which is a tourist destination for Jordanians and non-Jordanians alike. Tourist statistics indicate the number of annual visitors to who visit these historic palaces in Azraq. The area is also characterized by a moderate climate makes the region's biodiversity a major tourism attraction factors for the region, where the area is famous for oases and water reserves.

The idea of the proposed project is based on establishing a therapeutic tourism project in Azraq area to utilize the touristic feature of the area, in addition to availability of some mineral water wells with therapeutic properties that can be utilized to diversify service offered by the Project to its visitors. In order to make it a complete tourism experience. The project will include a restaurant and swimming pools for visitors of the project, as well as some shops that can be rented to merchants of gifts and souvenirs, raising the expected revenue of the Project and making the Project an abutment for increasing economic activity in the area.

The project is designed to observe requirements of privacy for the Arab visitors from neighboring countries, who are targeted by the Project, as the project is located in the middle area on the route of visitors of the Kingdom and travelers by road across the border point between the Kingdom and the Gulf Region. The project targets a proportion of the visitors to the border crossing between the Kingdom and Saudi Arabia were most of the visitors to the Kingdom from the Arabian Gulf area pass through that border point.

Azraq includes an ecological lodge run by the RSCN, contains 16 rooms that welcome visitors to Azraq area in a friendly and welcoming atmosphere. The area also includes a rest house owned by the Social Security Corporation, which includes a number of chalets and a swimming pool. However, the location is not marketed in a manner that secure a competitive market share for the project, in addition to a number of factors that ultimately led to the closure of the project as illustrated in the competitors' chapter. The idea of the Project was formed through creation of a project that complements the competitors and characterized by services that are not provided by competitors, most notably the design of the Project that observe requirements of Arab families, in terms of privacy and isolation, with adding the recreational and therapeutic aspect for services of the Project.

2.2 Objectives of the Project

Objectives of the proposed Project are summarized as follows:

- Achieve a profitable return to the related party of the Project.
- Develop Azraq area economically by investing its advantages, such as the climate factor and available resources.
- Provide job opportunities to people of the area.

2.3 The Proposed Project

The Project is located on a plot of land owned by the Municipality of Azraq , near the main road linking Azraq City to the capital Amman. The proposed plot is featured with its flat surface, which reduces construction costs of the Project and adds an attractive element to the Project that allows visitors of the region to visualize the Project with all its facilities

The Project will include the following facilities:

1. Chalets for guest lodging
2. Public swimming pools for men and women
3. Two separate therapeutic health clubs foe males and females. Each club has a mineral water pool
4. A restaurant
5. Commercial stores for rent to investors
6. Playground for children
7. Parking lot
8. Multi-use hall
9. Well-prepared gardens for hiking

2.4 Targeted Segments

The project targets the following categories:

1. Visitors of the Kingdom traveling through the Omari Border Point.
2. Tourists of Azraq area according to the statistics of desert palaces and the eco lodge
3. Inhabitants of Azraq area of age categories 15-49 years of households with high income of JD 14,000 annually.

Figure 3: Targeted Segments through the Project

2.5 Market Size Analysis

Azraq is located on the road connecting Amman with the Arabian Gulf countries, of which Jordanian and Arab expatriates from a part of their communities, and consequently considered to be a major route for Arab travelers returning back to their homes during summer vacations, such as Syria and Lebanon. In addition, the percentage of tourists coming to Jordan from the Gulf States (UAE, Bahrain, Saudi Arabia, Qatar, Kuwait, Oman and Iraq) is about 22% of the total number of tourists coming to Jordan, according to the statistics of 2016, as per the data published by the Ministry of Tourism and Antiquities of Jordan. The statistics of travelers through the Omari border point referred to number of travelers by land, which can be targeted to provide value-added services. Land trips for those travelers are long enough to require rest in a recreational environment that is positively reflected on travelers. On the other hand, despite the increase in number of travelers by land through the Omari border point in 2011 by 1.86% over the number of travelers during 2006, it declined constantly during the following years (2012-2016), mainly due to the political events in the neighboring countries. The following table shows number of travelers by land through the Omari border point by nationality:

Table 2.1: Numbers of travelers by road through the Omari border point

Numbers of travelers through the Omari Border Point	2006	2011	2012	2013	2014	2015	2016
Total	1,448,463	1,588,235	1,463,250	1,332,080	1,279,276	1,093,591	998,614
Jordanians	224,121	262,804	357,475	410,766	429,032	416,833	404,125
Arabs	1,176,977	1,217,012	1,061,949	881,042	814,137	647,967	568,713
Foreigners	47,365	108,419	43,826	40,272	36,107	28,791	25,776

In general, the Ministry of Tourism statistics for 2016 on nature of visitors to the Kingdom and their distribution between visitors of one day and visitors to lodging according to nationality as follows, were these rates will be taking into account when calculating the expected market size of Azraq visitors, due to lack of detailed information on the nature of visitors for Azraq area.

Table 2.3: Composition of visitors to the Kingdom by type of visitor

Nationality	Lodging	One day
Arab	67.1%	32.9%
Jordanians abroad	97.9%	2.1%
Foreigners	87.6%	12.4%

Based on the number of travelers during 2016, and due to the recent decrease in number of travelers, the number of 2016 will be taken into consideration when calculating the expected market size for the sake of reservation. The following table shows the market size estimates of this category during the years of study:

Table 2.4: Estimation of the targeted market size of travelers segment through the Omari border point

Estimation of the targeted market size of travelers category through the Omari border point	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Jordanian - one day	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300
Jordanian - lodging	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825
Arab - one day	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135
Arab - lodging	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578
Foreigner - one day	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196
Foreigner - lodging	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580

As for the category of visitors to desert palaces, statistics of the Ministry of Tourism and Antiquities indicate the number of visitors to desert palaces, especially those in the Azraq area, to number of visitors, as shown in the following table:

Table 2.5: Number of visitors to desert palaces

Number of visitors to desert palaces	2012	2013	2014	2015	2016
Total number of visitors to desert palaces	30,438	27,000	29,950	11,784	7,337

Due to the constant decrease in number of visitors to desert palaces, the number of visitors to desert palaces for 2016 was taken into consideration, when calculating the expected market size of visitors to desert palaces during the years of study for the purpose of reservation, as shown in the following table:

Table 2.6: Estimating market size of desert palaces visitors

Estimating market size of desert places' visitors	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Number of visitors	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337

In addition to the movement of travelers through the Omari border point and visitors to desert palaces, the statistics of Azraq Eco Lodge that is managed by the RSCN were adopted, in terms of number of quests during the previous years. The following table shows number of visitors to the Azraq Eco Lodge during 2015-2017[22], according to availability of data:

Table 2.7: Number of visitors to the Azraq Eco Lodge during 2015-2017

Year	Jordanians	Residents	Foreigners	Students	Free visitors	Local citizens	Total
2015	2,576	1,460	1,175	3,962	1,688	2,694	13,555
2016	4,285	891	1,106	2,483	3,101	3,516	15,382
2017[23]	2,315	532	747	1,318	639	1,328	6,879

[22] The Royal Society for the Reservation of Nature/ Azraq Ecological Lodge
[23] Up to June 2017

The following table shows details of guests between one day guest and lodging guest and estimated growth rate between 2015 and 2016:

Table 2.8: Classification and growth rate of visitors to the Azraq Eco Lodge per annum

Number of Azraq Eco Lodge Visitors	2015	2016	Growth rate 2015-2016
Total	13,555	15,382	2.56%
Lodging visitors	1,982	2,003	0.21%
One day visitors	11,573	13,379	2.94%

It is worth mentioning that the size of targeted category of visitors to the Azraq Ecological Lodge, during the years of study will be estimated according to number of visitors to the Azraq Ecological Lodge of 2016 for reservation purpose, as shown in the following table:

Table 2.9: Estimating market size of visitors to the Azraq Eco Lodge

Estimating market size of visitors to the Azraq Eco Lodge	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Total	15,382	15,382	15,382	15,382	15,382	15,382	15,382	15,382	15,382	15,382
Lodging visitors	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379
One day visitors	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003

The inhabitants of Azraq of age 15-49 segment are added to the market size estimates, where the Project offers an opportunity for this category to practice swimming and enjoying services of the Project. The market size from this category was built based on the population census prepared by the Department of Statistics in 2015, and distribution of population by age group, according to the results of the targeted census and income category.

Table 2.10 Population of Azraq District as per Population and Housing Census 2015

Population 2015				
Administrative Divisions	**Male**	**Female**	**Total**	**Households**
Azraq Province	27,137	24,860	51,997	11,159

The population growth rate in Zarqa Governorate is estimated at 5.4%, based on the results of 2004 and 2015 censuses.

Table 2.11: Annual growth rate in population of Zarqa Governorate between 2004 and 2015

Population growth rate in Zarqa Governorate	2004	2015
Population of Zarqa Governorate	764,650	1,364,878
Increase rate of population in Zarqa Governorate	5.41%	

The following table shows distribution of population within Zarqa Governorate by age group, according to the basic results of the General Population and Housing Census 2015, issued by the Department of Statistics of Jordan. The total population of Zarqa Governorate was 1,364,878 persons, 67.7% of whom were Jordanian citizens, 923,652 persons, 32.3% have other nationalities rather than the Jordanian nationality, which is equivalent 441,226 persons:

Table 2.12: Distribution of population in Zarqa Governorate by age category

Age category	Total Population		Total Males		Total Females	
	%	Number	%	Number	%	Number
0-4	11.83	161,498	11.52	83,140	12.18	78,358
5-9	13.22	180,473	12.81	92,457	13.68	88,016
10-14	11.55	157,642	11.26	81,232	11.88	76,410
15-19	10.35	141,315	10.27	74,108	10.45	67,207
20-24	9.37	127,834	9.59	69,184	9.12	58,650
25-29	7.95	108,533	8.15	58,775	7.74	49,758
30-34	7.31	99,822	7.42	55,534	7.20	46,288
35-39	6.71	91,546	6.90	49,803	6.49	41,743
40-44	5.95	81,199	6.20	44,727	5.67	36,472
45-49	5.00	68,303	5.25	37,875	4.73	30,428
50-54	3.56	48,585	3.65	26,360	3.45	22,225
55-59	2.32	31,679	2.30	16,613	2.34	15,066
60-64	1.56	21,332	1.52	10,956	1.61	10,376
+65	3.31	45,117	3.16	22,837	3.46	22,280
Total	**100%**	**1,364,878**	**100%**	**721,601**	**100%**	**643,277**

As for distribution of households by income category, the Project targets members of families with annual income higher than or equal JD 14,000, estimated according to the following table and based on the latest results available from the Household Income and Expenditures Survey, conducted by the Department of Statistics in 2013:

Table 2.13: Percentage of households with incomes higher than JD 14,000 per annum in Zarqa Governorate

Governorate	Current Annual Household Income Categories in JD > = 14,000
Zarqa	6.8%

Based on the available data, the following table illustrates estimations of market size of the Project of the area population:

Table 2.14: Market size estimates for the population of the area during the years of study

Estimating market size of population of the area category	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Expected population of Azraq Province	64,192	67,664	71,324	75,182	79,248	83,534	88,052	92,814	97,834	103,125
Estimation of population within the targeted age category	33,794	35,622	37,549	39,580	41,721	43,977	46,356	48,863	51,506	54,291
Estimation of population within the targeted income category	5,914	6,234	6,571	6,927	7,301	7,696	8,112	8,551	9,014	9,501

The following table illustrates estimations of market size of the Project by targeted category during the years of study

Table 2.15: Total market size estimates of the Project by category and type of visitors

Market Size Estimate	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Jordanian - one day	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300	8,300
Jordanian - lodging	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825	395,825
Arab - one day	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135	187,135
Arab - Lodging	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578	381,578
Foreigner - one day	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196	3,196
Foreigner - lodging	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580	22,580
Desert palaces visitors - one day	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337	7,337
Visitors of Azraq Eco Lodge - one day	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379	13,379
Visitors of Azraq Eco Lodge - lodging	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003	2,003
Population of Azraq target group	2,298	2,422	2,553	2,691	2,837	2,990	3,152	3,323	3,502	3,692
Total Visitors of one day	219,347	219,347	219,347	219,347	219,347	219,347	219,347	219,347	219,347	219,347
Total visitors of lodging	801,986	801,986	801,986	801,986	801,986	801,986	801,986	801,986	801,986	801,986

Population estimate of target income category	2,298	2,422	2,553	2,691	2,837	2,990	3,152	3,323	3,502	3,692

It is worth mentioning that the residents of the area were considered to be visitors of one day, as residents of the area do not visit as lodging guests in their area of residence.

2.6 Competitors

Azraq Eco Lodge

The Azraq Wetland Reserve has provided many services to encourage ecotourism, the most important of which is the Azraq Lodge, a building constructed in the 40s of the last century, during the World War II, as a military field hospital for the British Army. The site used later on as government building and in 1966 by a group of hunters as a center for them in the area. They organized themselves in the so called Royal Hunting Club, where the club started to organize the seasons of hunting and identify the types and numbers of birds and animals that can be hunted, after they found that some of these birds and animals have been extinct from the area and other are exposed to extinction.

This club is the nucleus of the current Royal Society for the Reservation of Nature (RSCN), which is now a national voluntary organization, leading in the field of nature protection, community development and establishment of nature reserves. It is based on application of hunting and agriculture law, providing technical support and constant training in the field of nature protection and community development of Arab sister countries.

Earlier the site was used as a station for scientists and researchers with their different scientific interests, whether environmental or archaeological ones. The Azraq Lodge was recently rebuilt and has 16 rooms and became a landmark tourist attraction in the Arab region.

The lodge offers lodging for about 38 visitors in these original rooms, preserving the historical character and purpose of establishment. The lodge offers unique Chechen food for about 60 people, representing the customs and traditions of one of population groups that form the social fabric in the Azraq region, which is formed from Bedouin, Chechens and Druze. As mentioned previously, the total number of visitors to the Azraq Eco Lodge reached 15,382 visitors during 2016, of which 2,003 were guests. The occupancy rate was estimated at 14.4% during 2016.

The lodge also includes a handcraft workshop and socio-economic projects; furthermore they employ females from the local community. RSCN gave them training and helped them in providing a permanent source of income for them and their families. These projects also support the programs of the RSCN.

The building includes a workshop for painting on ostrich eggs, sewing, packaging, environmental toys, silk printing, recycled paper project and nature shop, which displays and sells products of the RSCN.

The Lodge is a vital tourist destination in the Azraq area for several reasons, the most important of which is the starting point for tourism in the area, which include the Azraq Wetland Reserve, Shawmari Reserve, desert palaces and Eastern Desert programs and activities. The Lodge offers comfortable and enjoyable accommodation to the region's visitors through its unique design, simplicity, originality and distinctive service, were it gained high reputation through the quality of tourism services provided to its visitors. The Lodge provides jobs for the local inhabitants. It works on supporting nature protection programs and spreading environmental awareness to visitors. It offers a range of leisure and tourism activities, such as village bicycles trails, meals made by a Druze family, walking and bus trails, environmental games and the Azraq folklore band.

The table represents the price list of the Azraq Eco Lodge services for 2017 in JD.

Table 2.16: Services Price List at the Eco Lodge for 2017

<table>
<tr><th colspan="4">Ticket Price for Visitor to the Reserve</th></tr>
<tr><th colspan="2">Nationality</th><th colspan="2">Ticket Price in JD</th></tr>
<tr><td colspan="2">Jordanian</td><td colspan="2">2.5</td></tr>
<tr><td colspan="2">Resident</td><td colspan="2">6</td></tr>
<tr><td colspan="2">Non-Jordanian</td><td colspan="2">8</td></tr>
<tr><th colspan="4">Bus Tour Price in JD</th></tr>
<tr><th>Tour</th><th>Duration</th><th>Jordanian</th><th>Non-Jordanian</th></tr>
<tr><td>Azraq Tour</td><td>Up to 3 Hours</td><td>17.5</td><td>23.5</td></tr>
<tr><td>Al-Sukhaim Tour</td><td>5-6 Hours</td><td>21</td><td>27</td></tr>
<tr><th colspan="4">Bicycle Rent Price in JD</th></tr>
<tr><th>Description</th><th>Tour Duration</th><th colspan="2">Bicycle Price in JD</th></tr>
<tr><td rowspan="2">Rental of Bicycles</td><td>Up to 4 hours</td><td colspan="2">12</td></tr>
<tr><td>4-8 hours</td><td colspan="2">23.5</td></tr>
<tr><th colspan="4">Bicycle Tour Price in JD</th></tr>
<tr><th>Tour</th><th>Duration</th><th>Jordanian</th><th>Non-Jordanian</th></tr>
<tr><td>Mud Arcade</td><td>2-3 hours</td><td>15</td><td>21</td></tr>
<tr><td>Village Arcade</td><td>4-5 hours</td><td>32.5</td><td>38.5</td></tr>
<tr><th colspan="4">Lodging Price in JD</th></tr>
<tr><th>Room</th><th>Jordanian</th><th colspan="2">Non-Jordanian</th></tr>
<tr><td>Single</td><td>58</td><td colspan="2">70</td></tr>
<tr><td>Double</td><td>70</td><td colspan="2">81.5</td></tr>
<tr><td>Triple</td><td>81.5</td><td colspan="2">93</td></tr>
<tr><td>Quadruple</td><td>93</td><td colspan="2">104.5</td></tr>
</table>

Azraq Rest House

The Investment Fund of the Social Security Corporation set up a rest house in the Azraq area, near the Project site to exploit tourist activity in the region earlier. The available news indicates the pool was completed in 2002 and thus the area was known a tourist boom during previous periods. The Social Security Investment Fund intended to set up tourism projects and then conduct agreements with operators to run the project for fees to be determined and agreed upon.

The manager of the Rest House was entrusted by the operator until the date of inspection by the Investment Fund of the Social Security Corporation, and checking its ability to receive visitors, as the maintenance works carried out during the past years were superficial works, to save expenses, such as electrical cabling and sanitary works by the operator, which put the project visitors in the risk of accidents. Therefore, the Investment Fund closed the project by the middle of 2016, with estimates for the need of about JD 150,000 to the project for restoration.

The project consists of 24 chalets, divided into 18 double chalets and 6 triple chalets, with possibility of adding beds to double chalets to become triple chalets, or adding beds to triple chalets to become quadruple chalets, so the project can accommodate 78 visitors per night. In addition to lodging chalets, the project includes a restaurant with a capacity of 115 people, and a medium-sized swimming pool for the one day visitors. According to information provided by the former manager of the facility, the occupancy rate during the period earlier to the Arab Spring was 60%-801%, were the Gulf tourism was good in that period, but it declined to reach occupancy rate at the closure of the rest house to 7%-12%, which makes operating the project is infeasible from the point of view of the operator, which consequently led to poor maintenance that became limited to necessary repair only without completion of maintenance as it should be.

The swimming pool was one of the most important sources of income to the project, where the return of tickets for visitors to the swimming pool up to JD 1,500 per month, at a price of up to JD 5 for adults and JD 3 for the accompanying children. With regard to prices, the project adopted a conservative pricing policy. The cost of lodging per person was about JD 25 per night without food and beverages. The cost of breakfast and lunch is about JD 25 per day per person.

Based on the information obtained, the project was able to attract employees of the international missions who are working in the Syrian refugee camps, which are close to the area, instead of staying in a city with further distance, also targeting the Gulf people with maximizing services of the project by establishing tents that preferred by the Gulf tourist rather than staying in chalets.

2.7 Estimated Market Share

The market share of the project was built as an estimated share, as a targeted percentage of the expected total market size by the type of visitor as indicated in the following table:

Table 2.17: Targeted market share in the Project based on type of visitor

Type of visitor	Targeted market share
One day visitor	10%
Lodging visitor	0.25%
Project share from the province residents	10%

The percentage of visitors to the health club was estimated at 10% of the total number of visitors to the Project, and the number of expected visitors during the years of study as in the following table:

Number of visitors estimate	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Jordanian - one day	830	830	830	830	830	830	830	830	830	830
Jordanian - lodging	990	990	990	990	990	990	990	990	990	990
Arab - one day	18,713	18,713	18,713	18,713	18,713	18,713	18,713	18,713	18,713	18,713
Arab - Lodging	954	954	954	954	954	954	954	954	954	954
Foreigner - one day	320	320	320	320	320	320	320	320	320	320
Foreigner - lodging	56	56	56	56	56	56	56	56	56	56
Desert palaces visitors - one day	734	734	734	734	734	734	734	734	734	734
Residents of Azraq province	230	242	255	269	284	299	315	332	350	369
Visitors of one day	20,827	20,839	20,852	20,866	20,880	20,896	20,912	20,929	20,947	20,966
visitors of lodging	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000	2,000
Total Visitors to the Project	**22,827**	**22,839**	**22,852**	**22,866**	**22,880**	**22,896**	**22,912**	**22,929**	**22,947**	**22,966**

Percentage of therapeutic health club visitors	**10%**									
Number of visitors to the health club	2,283	2,284	2,285	2,287	2,288	2,290	2,291	2,293	2,295	2,297

2.8 Price Analysis and Project Revenue

Based on the services provided by the Project and prices of competitors in the area, the following table is proposed as a proposed price structure during the years of study. The prices are subject to an annual increase of 2.28% as an average inflation during the years 2012-2015:

Table 2.18: Expected service prices of the Project during the years of study

Expected prices of the Project	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Lodging rate of overnight tourist (one night)[25]	1	1	1	1	1	1	1	1	1	1
One night price of a double room	55	56.3	57.5	58.8	60.2	61.6	63.0	64.4	65.9	67.4
Average spending of one-day tourist										
Entrance ticket	5.0	5.1	5.2	5.3	5.5	5.6	5.7	5.9	6.0	6.1
Food a beverages										
Average price of meal to one-day visitors	5	5.1	5.2	5.3	5.5	5.6	5.7	5.9	6.0	6.1
Revenue of food and beverages for lodging visitors[26]	20%	of room revenue								
Average service price in the therapeutic health club	15	15.3	15.7	16.0	16.4	16.8	17.2	17.6	18.0	18.4

With regard to rental income of shops, the following table shows assumptions of leasing and revenue of shops:

Number of commercial shops	**5**									
	2019	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**
Occupancy rate during the years	20%	40%	60%	80%	100%	100%	100%	100%	100%	100%
Number of leased shops	1	2	3	4	5	5	5	5	5	5
Annual rent of shop	480	491	502	514	525	537	550	562	575	588
Revenue of commercial shops rental	**480**	**982**	**1,506**	**2,054**	**2,626**	**2,686**	**2,748**	**2,810**	**2,874**	**2,940**

[25] Ministry of Tourism and Antiquities: Total lodging rate in the Kingdom 2016
[26] Tourism lodging projects rates

Therefore, the expected project revenue during the years of study is estimated as follows:

Table 2.19: Revenue of the Project during the years of study

Expected revenue of the Project	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
Lodging revenue	54,999	56,253	57,535	58,847	60,189	61,561	62,965	64,400	65,869	67,371
Entrance tickets revenue	104,133	106,571	109,069	111,630	114,254	116,945	119,704	122,533	125,435	128,411
Food and beverages revenue - one day visitors	104,133	106,571	109,069	111,630	114,254	116,945	119,704	122,533	125,435	128,411
Food and beverages revenue - lodging visitors	11,000	11,251	11,507	11,769	12,038	12,312	12,593	12,880	13,174	13,474
Revenue of the therapeutic health club	34,240	35,040	35,859	36,699	37,559	38,441	39,346	40,273	41,223	42,198
Revenue of commercial shops	480	982	1,506	2,054	2,626	2,686	2,748	2,810	2,874	2,940
Total Revenue of the Project (JD)	**308,984**	**316,666**	**324,546**	**332,629**	**340,922**	**348,892**	**357,060**	**365,430**	**374,010**	**382,804**

2.9 SWOT Analysis

Points of Strength	Point of Weakness
• Availability of mineral water as an attraction point. • Location of the Project on the land route to the Gulf countries. • The Project located near the desert palaces. • Construction of swimming pools with observing the Arab tourism privacy. • Add the Project to the therapeutic tourism map, which characterized the Kingdom, due to availability of mineral water in the health club.	• The Project relies on the tourism season associated with travelers by land. • Distance of the Project from the main cities of the Kingdom. • Weak infrastructure and services around the Project.
Opportunities	**Threats**
• Possibility of linking with tourism trips operators to attract visitors from abroad. • Possibility of targeting new categories in tourism offers, such as companies and organizations to conduct training. • Possibility of adding the adventure tourism within the Project's offerings. • Possibility of adding lodging tents to match requirements of the Gulf tourists. • Possibility of targeting the International missions currently working with relief agencies for lodging of missions' personnel, as the Project is closer to the camps than Amman. • The location is equipped to hold concerts and events, such as weddings for people of the Governorate during the tourism declined season in the area.	• Health risks associated with serving tourist from accidents and injuries. • Possibility of new competitors' emergence. • Threat of lifting up service level in the current competitors' facilities. • The political situation in the neighboring countries.

3 Chapter III - Technical Analysis

3.1 Human Resources Required

The following figure illustrates the organizational structure of the project:

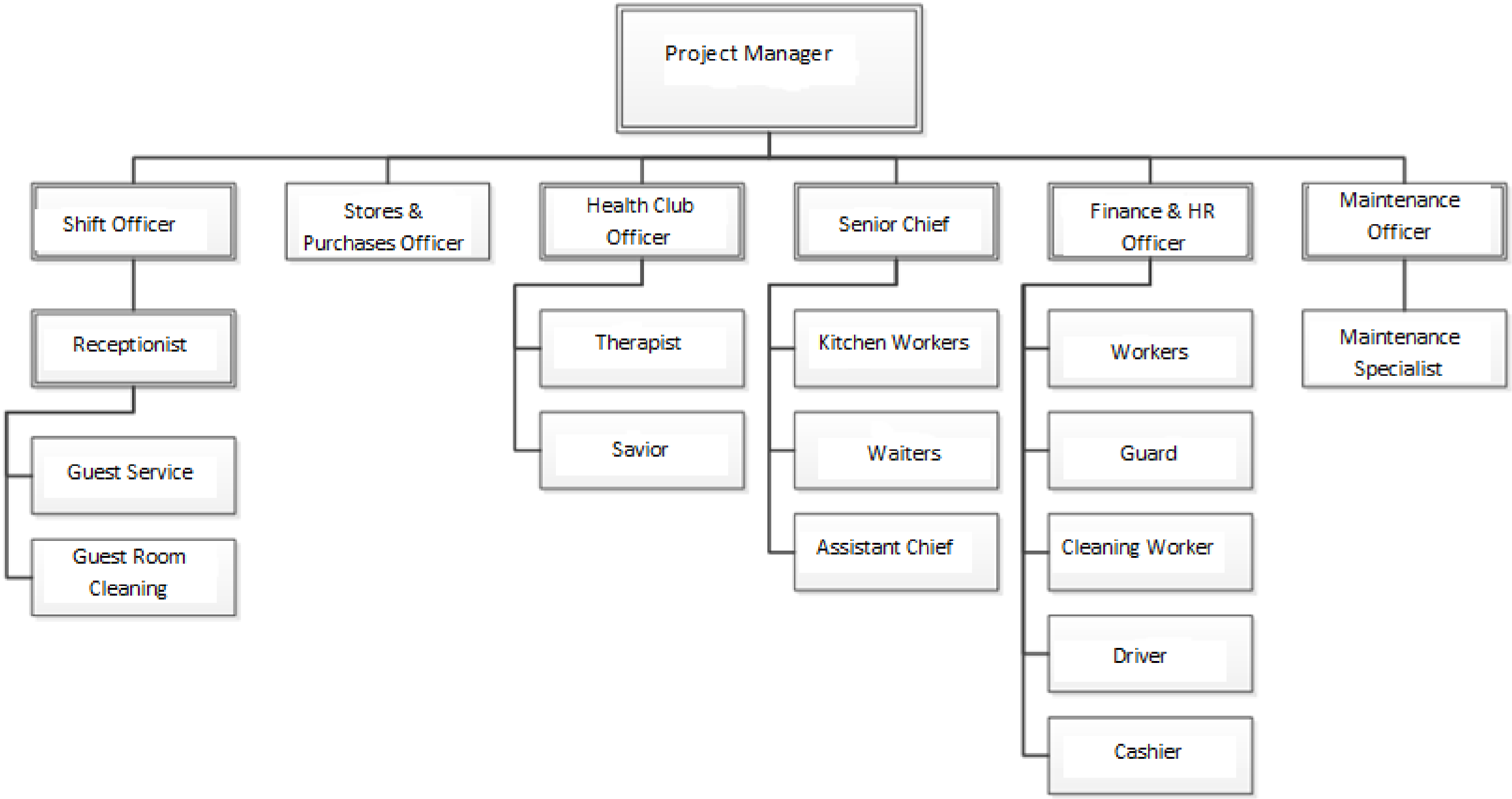

Figure 4: Proposed organizational structure

Project Manager will:

- Develop general work plans.
- Develop and follow the annual plans
- Dealing with tourism trips operators
- Monitor all administrative and financial affairs of the Project

Senior Chief will:

- Develop work plans for food and beverage services
- Specify the required raw materials and secure and maintain them
- Monitor works of restaurant staff in terms of meals preparation
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Assistant Chief will:

- Prepare the required materials for food and beverage service
- Keep cooking equipment clean
- Control meals during cooking process
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Waiters will

- Register guests orders of food and beverages
- Serving customers of the restaurant and record notices
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Kitchen Workers will:

- Keep the kitchen clean according to health directions
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Cashier will:

- Collect payments from guests according to services provided
- Maintain cash and secure it as per the applied procedures
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Finance and HR Officer will:

- Record all financial transactions of the Project
- Prepare the financial statements
- Prepare payroll and related tax and social security
- Follow-up government entities for licenses
- Follow-up administrative and HR works of the Project
- Follow-up works requirements of purchases and necessities
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Maintenance Officer will:

- Develop preventive and corrective maintenance plans according to equipment and site requirements
- Follow-up spare parts orders
- Issue maintenance order to the maintenance specialist and follow-up condition of equipment
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Maintenance Specialist will:

- Carry out the required maintenance works and record actions on records of equipment
- Follow-up availability of spare parts and report condition of equipment
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Health Club Officer will:

- Monitor health club activities
- Prepare schedule of therapists as per guests reservations
- Follow-up materials and requirements of health club
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Therapist will:

- Serve health club guests and conduct therapeutic sessions
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Shift Officer will

- Follow-up chalets, reservations and secure chalets for guests
- Monitor customer service staff
- Prepare maintenance orders for chalets and other facilities
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Receptionist will:

- Receive guests according to reservations or people willing to use facilities of the Project
- Ensure highest level of guest service
- Guiding room service staff
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Guest Service Employee will:

- Receive guest orders and sustainable services
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Guest room cleaning Employee will:

- Preparation of rooms to receive guests
- Carry out the daily cleaning works of rooms
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Accountant will:

- Record all financial transactions of the Project
- Prepare the financial statements
- Prepare payroll and related tax and social security
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Savior will:

- Control visitors in swimming pools areas and observe the preventive measures and general health requirements
- Prevent occurrence of drowning accidents
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Cleaning Workers will:

- Keep the Project clean
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Guard will:

- Maintain safety and security of the Project from attacks
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Driver will:

- Secure transportation of workforce to/from the Project
- Perform outside purchases
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

Store and Purchases Officer will:

- Monitor materials balances in the Project's warehouse
- Preparation and execute purchase orders in terms of quotations and provide them to concerned employees to select the suitable one
- Reconciliation of inventory balances periodically
- Any other duties determined by the direct manager, corresponding with nature and requirements of work

The following table shows the direct and indirect jobs required for the Project, where indirect jobs are defined as jobs not related to main operations of the Project, such as supervision and control , while direct jobs are defined as those related to volume of operations in the Project:

Table 3.1: Indirect jobs required for the Project

Job Title	Number
Indirect Employees	
Project Manager	1
Shit Officer	1
Finance and HR Officer	1
Accountant	1
Stores and Purchases Officer	1
Cashier	1
Cleaning Worker	1
Guard	2
Total Indirect Employees	**9**

Table 3.2: Direct jobs required for the Project

Job Title	Number
Direct Jobs	
Receptionists	2
Guest Service	2
Guest Room Cleaning	2
Senior Chief	1
Assistant Chief	1
Waiters	1
Kitchen Workers	1
Maintenance Officer	1
Maintenance Specialist	1
Health Club Officer	1
Therapist	2
Savior	2
Driver	2
Workers	2
Total Direct Employees	**21**
Total Employees	**30**

3.2 Details of Operations

Tourism projects in general are not complicated, as tourism projects provide lodging services for visitors either attend to the Project without reservation, but only ask about availability of rooms, or visitors who booked chalets, either directly or through tour operators. Other operations within the Project are divided according to the components of the Project, and based on the proposed services. The following provides a simplified explanation of these services.

Lodging

The Project includes a number of chalets equipped with all comforts and recreation necessities, according to the very purpose of which the project was established, which is to provide a suitable atmosphere for visitors to relax and to break away from troubles and concerns of daily life. These chalets will be double for two persons with a separate bathroom, refrigerator and hot drinks equipment. The restaurant inside the Project will prepare meals on request. The lodging offers will be inclusive only for breakfast, while other meals are not included in the rate.

Restaurant

The Project includes a restaurant equipped with all equipment required by food and beverage services in the Project, from cooking equipment and food preservation, where the restaurant can prepare fast food and cooking meals in oriental cuisine. The highest hygienic standards will be applied to kitchen work to avoid potential hazards to guests.

Swimming Pools

The swimming pools will be covered by the entrance tickets for one-day visitors, while accommodation costs will include swimming pools for the lodging visitors. The lifeguard will monitor the visitors in the swimming pools to avoid accidents, and daily inspections will be conducted on quality of pools' water as well as maintenance required to achieve highest standards of satisfaction rates of visitors to the Project.

Health Club

The health club will offer its services for the announced fees. Spa services include use of mineral water pools and therapeutic sessions for the limited time guests.

Other Facilities

Entry ticket and lodging costs include the use of playgrounds for children and the park inside the Project.

Commercial shops for rent

The Project include a number of shops that expected to be leased for investor who wish to establish exhibitions, such as exchange companies, personal services and shops selling antiques and souvenirs.

3.3 Technical Requirements' Analysis

3.3.1 Land and Construction Works

The following table shows the available land area, as follows:

Table 3.3: Land required

Land	Cost (JD/m^2)	Area (m^2)
Plot of land required(1)	10	10,000

Source (1): The Municipality estimate

As for the construction works required for the Project, the following table shows the construction requirements of the Project:

Table 3.4: Construction works required

Construction Works[27]	Cost (JD/m^2)	Area (m^2)
8 Chalets	200	4,000
Restaurant	175	150
Administration and reception building	175	120
Health Club	175	160
Health Club fences Lm	54	85
Swimming pool for men	250	200
Swimming pond for man, mineral water (spa)	250	50
Swimming pool for women	250	200

[27] The Municipality estimates

Construction Works[27]	Cost (JD/m^2)	Area (m^2)
Swimming pond for man, mineral water (spa)	250	50
Swimming pool for children 1	250	50
Swimming pool for children 2	250	50
Wall for women's swimming pool Lm	54	100
Facilities of swimming pools	175	50
Fences around the plot Lm	36	350
Parking lot	10	1,000
Playgrounds for children	3	500
Gardens landscaping	45	2.500
Drilling of mineral water well, Depth meter	300	500
Bicycle track, 1200 Lm	5	3,000
Commercial shops building	175	75
Multi-purpose yard	2	1,000
Rehabilitation and paving of streets	9	500
Guards building	175	20
The Project's gate - lump sum	1	5,000
Other works 10% of the total	-	-

3.3.2 Machinery and Equipment

The following tables shoes the machines and equipment required for the Project:

Table 3.5: Machinery and equipment required

Machinery and Equipment[28]	quantity	Unit Cost (JD)
Chalets equipment[29]	8	1,550
Swimming pool equipment	2	2,000
Health club equipment	1	10,000
Equipment for Administration and Guards Building	1	5,000
Central receiver	1	1,000
Control systems	1	3,000
Fire equipment	1	10,000
Equipment for mineral water well	1	50,000
Bicycles	16	300
Power generators	1	6,000
Restaurant equipment[30]	1	20,000
Other equipment	Lump sum	Lump sum

[28] Quotations and estimations
[29] Details are illustrated in the appendix of machinery, equipment, furniture and fixtures
[30] Details are illustrated in the appendix of machinery, equipment, furniture and fixtures

3.3.3 Furniture and Fixtures

The following table shows the furniture and fixtures required for the Project:

Table 3.6: Furniture and fixtures

Furniture and Fixtures	quantity	Unit Cost (JD)
Chalets furniture[31]	8	1,700
Restaurant furniture[32]	1	10,000
Administration and reception Furniture	1	3,000
Public areas furniture	1	5,000
Children games and playgrounds	1	10,000
Health Club furniture	1	2,000

3.3.4 Vehicles and Means of Transport

The following table show requirement of the Project of vehicles and means of transport

Table 3.7: Vehicles and Means of Transport

Furniture and Fixtures	quantity	Unit Cost (JD)
Pickup	1	28,000
Bus 22 passengers	1	45,000

[31] Details are illustrated in the appendix of machinery, equipment, furniture and fixtures

[32] Details are illustrated in the appendix of machinery, equipment, furniture and fixtures

3.4 Legal Requirements and Procedures

Legal Requirements	Comments
Company Registration	The first step to create a project is establishment of the Project's company through the Ministry of Industry, Trade and Supply according to the required legal form. For the purpose of the feasibility study, establishment of the Project's company was assumed to be a limited liability company.
Construction of Project's buildings	It is assumed as a preliminary measure, obtaining the engineering design for the buildings and installations of the Project through an engineering consultation office, provided that the layouts to be verified and stamped by the Jordan Engineers Association, as a requirement to issue the construction license from the Municipality.
Issue of occupational license	The occupational license is issued through the Municipality, provided that the requirements of environment, civil defense and the occupational health and safety conditions that observed by the municipalities are achieved. A copy of the commercial registration of the company and the participation receipt of the Chamber of Industry must be accompanied to obtain the vocational license, which qualifies the Project to practice work.
Other legal requirements related to objective of the Project	Other legal requirements may arise, depending on the nature of work and requirements of the municipalities, such as approvals from the Ministry of Interior or the Ministry of Labor.

Chapter IV: Financial Analysis

The main object of this study is studying a preliminary economic feasibility to establish a therapeutic tourism project in Azraq. This study was based on financial and technical assumptions to reach the results that help to calculate profitability of the Project.

4.1 Assumptions and Facts

The duration of the financial study is 10 years. As for the annual increase rates, the following assumptions were taken as shown on the tables below:

Table 4.1: Annual increase rates

Annual Increase rates	Annual Rate
Selling prices are increasing annually by(1)	2.3%
Expenses are increasing annually by(2)	2.3%
Salaries, wages and equivalents are increasing annually by(3)	4.0%

(1) Source: Inflation rate for the last three years - Central Bank

(2) Source: Inflation rate for the last three years - - Central Bank

(3) Source: Social Security Corporation

Table 4.2: Income tax assumptions - salaries - compulsory reserve

Other Assumptions	Amount
Income tax rate(1)	20%
Discount percentage of income tax(2)	100%
Income tax rate after calculation of discount percentage	5%
Percentage of the compulsory reserve(3)	10%

(1) Source: Jordan Income Tax Law No. 34 for the year 2014

(2) Income Tax Reduction Act in the Least Developed Area No. 44 for the year 2016

(3) On assumption that the type of company is limited

4.2 Capital Expenditures

The estimated capital cost of the Project is JD 1,257,825, covering cost of land, construction works, machinery and equipment, furniture and fixtures, vehicle and means of transport, pre-operating expenses and the initial working capital. Cost of assets is JD 1,147,299, pre-operating expenses are JD 92,400 and the initial working capital is JD 18,126. The following table summarizes the capital expenditures of the proposed Project in Jordanian Dinars:

Table 4.3: Summary of Capital Expenditures

Summary of capital expenditures	Cost (JD)	Hedging Ratio	Cost (JD)	% From Total
Land	100,000	10%	110,000	8.7%
Construction works	695,199	10%	764,719	60.8%
Machinery and Equipment	131,200	10%	144,320	11.5%
Furniture and Fixtures	43,600	10%	47,960	3.8%
Vehicles and means of transport	73,000	10%	80,300	6.4%
Pre-operating expenses	84,000	10%	92,400	7.3%
Initial Working capital	16,478	10%	18,126	1.4%
Total (JD)	**1,143,477**		**1,257,825**	**100%**

The following figure shows the components of the capital expenditures, where percentage of construction works is the highest in capital costs:

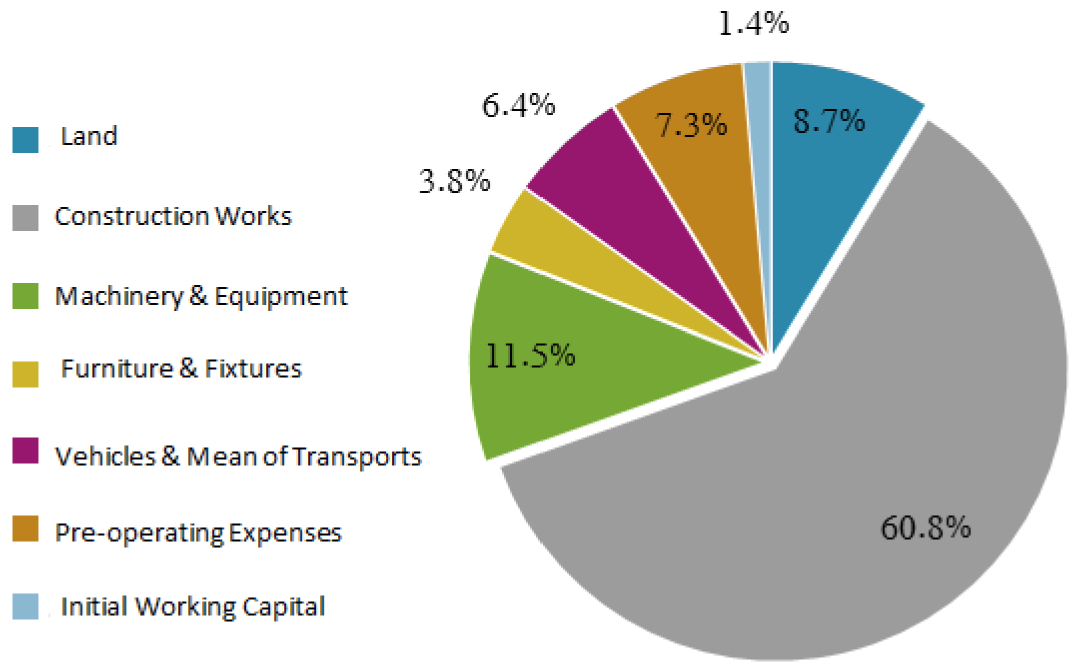

Figure 5: Percentages of capital expenditures' components

4.2.1 Land

The following table shows the land required for the Project:

Table 4.4: Land required for the Project

Land	Cost (JD/m^2)	Area (m^2)	Total Cost (JD)
Plot of land required	10	10,000	100,000
Total Cost			**100,000**

4.2.2 Construction Works

The following table shows construction works of the Project, as follows:

Table 4.5: Construction works required for the Project

Construction Works[33]	Cost (JD/m^2)	Area (m^2)	Total Cost/JD
8 Chalets	200	4,000	100,000
Restaurant	175	150	26,250
Administration and reception building	175	120	21,000
Health Club	175	160	28,000
Health Club fences Lm	54	85	4,590
Swimming pool for men	250	200	50,000
Swimming pond for man, mineral water (spa)	250	50	12,500
Swimming pool for women	250	200	50,000

[33] The Municipality estimates

Construction Works[33]	Cost (JD/m^2)	Area (m^2)	Total Cost/JD
Swimming pond for man, mineral water (spa)	250	50	12,500
Swimming pool for children 1	250	50	12,500
Swimming pool for children 2	250	50	12,500
Wall for women's swimming pool Lm	54	100	5,400
Facilities of swimming pools	175	50	8,750
Fences around the plot Lm	36	350	12,600
Parking yards	10	1,000	10,000
Playgrounds for children	3	500	1,500
Gardens landscaping	45	2.500	112,500
Drilling of mineral water well, Depth meter	300	500	150,000
Bicycle track, 1200 Lm	5	3,000	13,500
Commercial shops building	175	75	13,125
Multi-purpose yard	2	1,000	2,000
Rehabilitation and paving of streets	9	500	4,500
Guards building	175	20	3,500
The Project's gate - lump sum	1	5,000	5,000
Other works 10% of the total	-	-	22,984
Total Cost (JD)			**695,199**

4.2.3 Machinery and Equipment

The following table shows cost of machinery and equipment available and required to operate the Project:

Table 4.6: Machinery and equipment required

Machinery and Equipment[34]	quantity	Unit Cost (JD)	Total Cost (JD)
Chalets equipment[34]	8	1,550	12,400
Swimming pool equipment	2	2,000	20,000
Health club equipment	1	10,000	4,000
Equipment for Administration and Guards Building	1	5,000	10,000
Central receiver	1	1,000	5,000
Control systems	1	3,000	1,000
Fire equipment	1	10,000	3,000
Equipment for mineral water well	1	50,000	10,000
Bicycles	16	300	50,000
Power generators	1	6,000	4,800
Restaurant equipment[30]	1	20,000	6,000
Other equipment	-	-	5,000
Total Cost (JD)	**34**		**131,200**

[34] Quotations and estimations

4.2.4 Furniture and Fixtures

The following table shows the list of furniture and fixtures required for the Project along with cost:

Table 4.7: Furniture and fixtures required for the Project

Furniture and Fixtures	quantity	Unit Cost (JD)	Total Cost (JD)
Chalets furniture[31]	8	1,700	13,600
Restaurant furniture[32]	1	10,000	10,000
Administration and reception Furniture	1	3,000	3,000
Public areas furniture	1	5,000	5,000
Children games and playgrounds	1	10,000	10,000
Health Club furniture	1	2,000	2,000
Total Cost (JD)			**73,000**

4.2.5 Vehicles and Means of Transport

The following table shows the list of vehicles and means of transport required for the Project along with cost:

Table 4.8: Table of means of transport along with cost

Furniture and Fixtures	quantity	Unit Cost (JD)	Total Cost/JD
Pickup	1	28,000	28,000
Bus 22 passengers	1	45,000	45,000
Total Cost (JD)			**73,000**

4.2.6 Pre-operating Expenses

Consist of a set of expenses that are expended before commencing the Project and before realizing any revenue. They include government fees, licenses, marketing expenses, training expenses and transportation, which are estimated as follows:

Table 4.9: Pre-operating expenses

Pre-operating Expenses	Estimated Cost (JD)
Government fees and licenses	4,000
Engineering Layouts and Designs	40,000
Establishing expenses	40,000
Total	**84,000**

4.2.7 Initial Working Capital

The initial working capital reflects the Project's need for the required liquidity to cover the costs incurred on operating the Project, until that time when the Project starts collecting money from customers. The following table shows components of the initial working capital:

Table 4.10: Initial working capital

Initial Working Capital	# of Months	Percentage	Estimated Cost (JD)
Operating costs	1	8%	16,478
Total			**16,478**

4.3 Depreciation of Assets

The following table summarizes cost of fixed assets, percentage of annual additions and annual depreciation rate:

Table 4.11: Cost of fittings, capital expenditures and annual depreciation rates

Cost of fittings, capital expenditures and annual depreciation rates	Cost (JD)	Depreciation %	Annual Addition %
Land	110,000	0.0%	0%
Construction works	764,719	2.0%	0%
Machinery and equipment	144,320	10.0%	5%
Furniture and fixtures	47,960	10.0%	5%
Vehicles and means of transport	80,300	10.0%	0%
Total	**1,147,299**		

The following tables illustrate the annual increases on fixed assets, depreciations, book value of assets for ten years, from the year of starting operations:

Table 4.12: Depreciation and annual increase on construction works

Construction Works	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Historical cost	764,719	764,719	764,719	764,719	764,719	764,719	764,719	764,719	764,719	764,719
Additions	0	0	0	0	0	0	0	0	0	0
Total	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**	**764,719**
Depreciation %	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*
Annual Depreciation Expenses	15,294	15,294	15,294	15,294	15,294	15,294	15,294	15,294	15,294	15,294
Opening Accumulated Depreciation	0	15,294	30,589	45,883	61,178	76,472	91,766	107,061	122,355	137,649
Ending Accumulated Depreciation	15,294	30,589	45,883	61,178	76,472	91,766	107,061	122,355	137,649	152,944
Net Book Value	**749,425**	**734,130**	**718,836**	**703,541**	**688,247**	**672,953**	**657,658**	**642,364**	**627,069**	**611,775**

Table 4.13: Depreciation and annual increase on machinery and equipment (JD)

Construction Works	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Historical cost	144,320	144,320	151,536	159,113	167,068	175,422	184,193	193,403	203,073	213,226
Additions	0	7,216	7,577	7,956	8,353	8,771	9,210	9,670	10,154	10,661
Total	**144,320**	**151,536**	**159,113**	**167,068**	**175,422**	**184,193**	**193,403**	**203,073**	**213,226**	**223,888**
Depreciation %	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*
Annual Depreciation Expenses	14,432	15,154	15,911	16,707	17,542	18,419	19,340	20,307	21,323	22,389
Opening Accumulated Depreciation	0	14,432	29,586	45,497	62,204	79,746	98,165	117,505	137,813	159,135
Ending Accumulated Depreciation	14,432	29,586	45,497	62,204	79,746	98,165	117,505	137,813	159,135	181,524
Net Book Value	**129,888**	**121,950**	**113,616**	**104,865**	**95,676**	**86,028**	**75,897**	**65,260**	**54,091**	**42,364**

Table 4.14: Depreciation and annual increase on furniture and fixtures (JD)

Furniture and Fixtures	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Historical cost	47,960	47,960	50,358	52,876	55,520	58,296	61,210	64,271	67,485	70,859
Additions	0	2,398	2,518	2,644	2,776	2,915	3,061	3,214	3,374	3,543
Total	**47,960**	**50,358**	**52,876**	**55,520**	**58,296**	**61,210**	**64,271**	**67,485**	**70,859**	**74,402**
Depreciation %	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*
Annual Depreciation Expenses	4,796	5,036	5,288	5,552	5,830	6,121	6,427	6,748	7,086	7,440
Opening Accumulated Depreciation	0	4,796	9,832	15,119	20,671	26,501	32,622	39,049	45,798	52,883
Ending Accumulated Depreciation	4,796	9,832	15,119	20,671	26,501	32,622	39,049	45,798	52,883	60,324
Net Book Value	**43,164**	**40,526**	**37,757**	**34,848**	**31,795**	**28,588**	**25,222**	**21,687**	**17,975**	**14,078**

Table 4.15: Depreciation and annual increase on vehicles and means of transport (JD)

Furniture and Fixtures	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Historical cost	80,300	80,300	80,300	80,300	80,300	80,300	80,300	80,300	80,300	80,300
Additions	0	0	0	0	0	0	0	0	0	0
Total	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**	**80,300**
Depreciation %	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*	*10%*
Annual Depreciation Expenses	8,030	8,030	8,030	8,030	8,030	8,030	8,030	8,030	8,030	8,030
Opening Accumulated Depreciation	0	8,030	16,060	24,090	32,120	40,150	48,180	56,210	64,240	72,270
Ending Accumulated Depreciation	8,030	16,060	24,090	32,120	40,150	48,180	56,210	64,240	72,270	80,300
Net Book Value	**72,270**	**64,240**	**56,210**	**48,180**	**40,150**	**32,120**	**24,090**	**16,060**	**8,030**	**0**

Table 4.16: Summary of capital costs, additions and annual depreciation (JD)

Summary of capital costs, additions and annual depreciation	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Total Fixed Assets	1,147,299	1,156,913	1,167,008	1,177,607	1,188,736	1,200,422	1,212,692	1,225,576	1,239,104	1,253,308
Total Depreciation Expenses	42,552	43,514	44,523	45,583	46,696	47,865	49,092	50,380	51,733	53,153
Total Accumulated Depreciation	42,552	86,066	130,589	176,173	222,869	270,733	319,825	370,205	421,938	475,091
Total Additions	0	9,614	10,095	10,599	11,129	11,686	12,270	12,884	13,528	14,204
Total Net Book Value	**1,104,747**	**1,070,847**	**1,036,418**	**1,001,434**	**965,868**	**929,689**	**892,867**	**855,371**	**817,166**	**778,217**

4.4 Financing Resources

The financing structure required for the projects comprises of loans and owners' equity. The investment cost of this Project was estimated at JD 1,257,825. This amount was determined through the fixed assets, which include land, construction works, machinery and equipment, furniture and fixtures, vehicle and means of transport, pre-operating expenses and initial working capital. (40%) of the Project will be financed through loans amounting JD 503,130 and the remaining (60%) through self-financing (owner' equity) amounting JD 754,695. The following table shows the general structure of funding required:

Table 4.17: Financing resources required

Financing resources	Amount	Percentage
Owners' equity (Self-financing)	754,695	60%
Loans	503,130	40%
Total	**1,257,825**	**100%**
Financing utilization	**Amount**	**Amount**
Capital Expenditures	1,147,299	91.21%
Pre-operating Expenditures	92,400	7.35%
Working Capital	18,126	1.44%
Total	**1,257,825**	**100%**

The following table shows the loan assumptions used:

Table 4.18: Loan assumptions

Loan Assumptions	
Loan Percentage	40%
Owners' equity	60%
Interest rate (1)	9.50%
Repayment of loan - 2 years	10
Year of loan	2019
Grace period (one year)	1

The following table shows the schedule financing loan used:

Table 4.19: Schedule of financing loans used

	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Opening balance	**503,130**	**503,130**	**419,894**	**328,750**	**228,948**	**119,665**	**0**	**0**	**0**	**0**
Interests	47,797	39,890	31,231	21,750	11,368	0	0	0	0	0
Capital	0	83,236	91,143	99,802	109,283	119,665	0	0	0	0
Repayment of loan	47,797	123,126	122,375	121,552	120,651	119,665	0	0	0	0
Ending balance	**503,130**	**419,894**	**328,750**	**228,948**	**119,665**	**0**	**0**	**0**	**0**	**0**
Current part of the loan	83,236	91,143	99,802	109,283	119,665	0	0	0	0	0
Long-term loans	419,894	328,750	228,948	119,665	0	0	0	0	0	0

4.5 Annual Revenue

The following table shows the expected annual revenue of the proposed Project, which previously illustrated in the Project's market study:

Table 4.20: Expected Project's revenue during years of study

	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Total revenue of the Project in JD	**308,984**	**316,666**	**324,546**	**332,629**	**340,922**	**348,892**	**357,060**	**365,430**	**374,010**	**382,804**

4.6 Operating Expenses

The following table shows the operating expenses of the proposed Project:

Table 4.21: Operating expenses

Description	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Raw Materials expenses	46,860	47,957	49,081	50,233	51,415	52,625	53,867	55,140	56,446	57,785
Utilities expenses	30,898	31,667	32,455	33,263	34,889	34,889	35,706	36,543	37,401	38,280
Maintenance expenses	-	11,473	11,735	12,002	12,276	12,556	12,842	13,135	13,434	13,740
Direct salaries	102,000	106,080	110,323	114,736	119,326	124,099	129,063	134,225	139,594	145,178
Other expenses	17,976	18,386	18,805	19,234	19,672	20,121	20,579	21,049	21,529	22,019
Total (JD)	**197,734**	**215,562**	**222,398**	**229,468**	**236,780**	**244,290**	**252,057**	**260,091**	**268,403**	**277,003**

4.7 Administrative Expenses

The following table shows the expected administrative expenses of the proposed Project during years of study. They were estimated by the Professional Group's team as follows:

Table 4.22: Expected Administrative Expenses during the Years of Study

Description	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Communication expenses	4,800	4,909	5,021	5,136	5,253	5,373	5,495	5,621	5,749	5,880
Hospitality & cleaning expenses	2,400	2,455	2,511	2,568	2,626	2,686	2,748	2,810	2,874	2,940
Stationery and printings	1,000	1,023	1,046	1,070	1,094	1,119	1,145	1,171	1,198	1,225
Training expenses	2,000	2,046	2,092	2,140	2,189	2,239	2,290	2,342	2,395	2,450
Insurance expenses	1,147	1,173	1,200	1,228	1,256	1,284	1,313	1,343	1,374	1,405
Professional services expenses	3,000	3,068	3,138	3,210	3,283	3,358	3,435	3,513	3,593	3,675
Other expenses	2,152	2,201	2,251	2,303	2,355	2,409	2,464	2,520	2,577	2,636
Total	**16,499**	**16,876**	**17,260**	**17,654**	**18,056**	**18,468**	**18,889**	**19,320**	**19,760**	**20,211**

The following table shows the expected marketing expenses of the proposed Project. The marketing expenses reach 4% of revenue based on estimations of the Professional Group's team:

Table 4.23: Marketing and advertising expenses

	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Marketing expenses	12,359	12,667	12,982	13,305	13,637	13,956	14,282	14,617	14,960	15,312
Total (JD)	**12,359**	**12,667**	**12,982**	**13,305**	**13,637**	**13,956**	**14,282**	**14,617**	**14,960**	**15,312**

4.8 Salaries and Wages

The monthly salary of each employee was estimated to be multiplied by 15 months per year for the purpose of calculating the annual salaries, wages and subsequent social security, health insurance and others. The following tables shows the expected annual salaries and wages, where the rate of increase in wages and salaries per annum is taken into account.

Table 4.24: Expected salaries and wages during years of study

Job Title	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Indirect employees										
Project Manager	15,000	15,600	16,224	16,873	17,548	18,250	18,980	19,739	20,529	21,350
Shift Officer	7,500	7,800	8,112	8,436	8,774	9,125	9,490	9,869	10,264	10,675
Finance and HR Officer	6,000	6240	6,490	6,749	7,019	7,300	7,592	7,896	8,211	8,540
Accountant	5,250	5,460	5,678	5,906	6,142	6,387	6,643	6,909	7,185	7,472
Stores and Purchases Officer	5,250	5,460	5,678	5,906	6,142	6,387	6,643	6,909	7,185	7,472
Cashier	4,500	4,680	4,867	5,062	5,264	5,475	5,694	5,922	6,159	6,405
Cleaning Worker	3,750	3,900	4,056	4,218	4,387	4,562	4,745	4,935	5,132	5,337
Guard	9,000	9,360	9,734	10,124	10,529	10,950	11,388	11,843	12,317	12,810
Total indirect salaries	**56,250**	**58,500**	**60,840**	**63,274**	**65,805**	**68,437**	**71,174**	**74,174**	**76,982**	**80,061**

Job Title	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Direct employees										
Receptionist	10,500	10,920	11,357	11,811	12,284	12,775	13,286	13,817	14,370	14,945
Guest service	8,250	8,580	8,923	9,280	9,651	10,037	10,439	10,856	11,291	11,742
Guest room cleaning	7,500	7,800	8,112	8,436	8,774	9,125	9,490	9,869	10,264	10,675
Senior Chief	7,500	7,800	8,112	8,436	8,774	9,125	9,490	9,869	10,264	10,675
Assistant Chief	6,000	6,240	6,490	6,749	7,019	7,300	7,592	7,896	8,211	8,540
Waiters	3,750	3,900	4,056	4,218	4,387	4,562	4,745	4,935	5,132	5,337
Kitchen Workers	3,750	3,900	4,056	4,218	4,387	4,562	4,745	4,935	5,132	5,337
Maintenance Officer	5,250	5,460	5,678	5,906	6,142	6,387	6,643	6,909	7,185	7,472
Maintenance Specialist	4,500	4,680	4,867	5,062	,5264	5,475	5,694	5,922	6,159	6,405
Health Club Officer	7,500	7,800	8,112	8,436	8,774	9,125	9,490	9,869	10,264	10,675
Therapist	12,000	12,480	12,979	13,498	14,038	14,600	15,184	15,791	16,423	17,080
Lifeguard	9,000	9,360	9,734	10,124	10,529	10,950	11,388	11,843	12,317	12,810
Driver	9,000	9,360	9,734	10,124	10,529	10,950	11,388	11,843	12,317	12,810
Workers	7,500	7,800	8,112	8,436	8,774	9,125	9,490	9,869	10,264	10,675
Total Direct Salaries	**102,000**	**106,080**	**110,323**	**114,736**	**119,326**	**124,099**	**129,063**	**134,225**	**139,594**	**145,178**
Total (JD)	**158,250**	**164,580**	**171,163**	**178,010**	**185,130**	**192,535**	**200,237**	**208,246**	**216,576**	**225,239**

4.9 Statement of Income

Throughout all financial information and analysis of expenses and financial costs of the Project, the estimated statement of income for the years of study, is shown in the following table:

Table 4.25: Statement of Income

Description	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Revenue										
Sales revenue	308,984	316,666	324,546	332,629	340,922	348,892	357,060	365,430	374,010	382,804
Total operating revenue	308,984	316,666	324,546	332,629	340,922	348,892	357,060	365,430	374,010	382,804
Operating expenses	(197,734)	(215,562)	(222,398)	(229,468)	(236,780)	(244,290)	(252,057)	(260,091)	(268,403)	(277,003)
Gross profit (or loss)	111,250	101,104	102,148	103,161	104,141	104,602	105,003	105,339	105,606	105,801
Gross profit margin	*36%*	*32%*	*31%*	*31%*	*31%*	*30%*	*29%*	*29%*	*28%*	*28%*
Salaries and wages (indirect)	(56,250)	(58,500)	(60,840)	(63,274)	(65,805)	(68,437)	(71,174)	(74,021)	(76,982)	(80,061)
Administrative expenses	(16,499)	(16,876)	(17,260)	(17,654)	(18,056)	(18,468)	(18,889)	(19,320)	(19,760)	(20,211)
Marketing expenses	(12,359)	(12,667)	(12,982)	(13,305)	(13,637)	(13,956)	(14,282)	(14,617)	(14,960)	(15,312)
Pre-operating expenses	(92,400)									
Total indirect costs	(177,509)	(88,042)	(91,082)	(94,233)	(97,498)	(100,860)	(104,346)	(107,958)	(111,703)	(115,584)
Income before tax, depreciation and interests	(66,259)	13,062	11,065	8,928	6,644	3,742	657	(2,619)	(6,096)	(9,783)
Depreciation of fixed assets	(42,552)	(43,514)	(44,523)	(45,583)	(46,696)	(47,865)	(49,092)	(50,380)	(51,733)	(53,153)
Income before tax and interests	(108,811)	(30,452)	(33,458)	(36,655)	(40,053)	(44,123)	(48,435)	(52,999)	(57,829)	(62,937)
Banking interests	(47,797)	(39,890)	(31,231)	(21,750)	(11,368)	0	0	0	0	0
Income before tax	(156,608)	(70,342)	(64,689)	(58,405)	(51,421)	(44,123)	(48,435)	(52,999)	(57,829)	(62,937)
Income tax	0	0	0	0	0	0	0	0	0	0
Net profit (loss)	(156,608)	(70,342)	(64,689)	(58,405)	(51,421)	(44,123)	(48,435)	(52,999)	(57,829)	(62,937)
Net profit rate	*-51%*	*-22%*	*-20%*	*-18%*	*-15%*	*-13%*	*-14%*	*-15%*	*-15%*	*-16%*
Compulsory reserve	0	0	0	0	0	0	0	0	0	0
Retained earnings	(156,608)	(226,950)	(291,639)	(350,044)	(401,465)	(445,588)	(494,022)	(547,022)	(604,851)	(667,788)

4.10 Statement of Financial Position

The statement of financial position is one of the essential financial statements, on which the Project relies on. It is a statement or a report illustrates the financial position of the Project. The statements are prepared based on the assumptions of the accounts receivable and payable of the Project.

4.10.1 Accounts Receivable and Payable

The following table shows the assumptions of the accounts receivable and payable and ending inventory:

Table 4.26: Assumptions of accounts receivable and payable

Assumption of Balance Sheet	Percentage
Cash collected during the period from the accrued revenue	100%
Cash collect during the subsequent period	0%
Cash paid on the operating expenses during the fiscal year	92%
Cash paid during the subsequent period	8%
End of period inventory	8%

Table 4.27: Accounts receivable for years of the study

Accounts receivable	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Operating revenue	308,984	316,666	324,546	332,629	340,922	348,892	357,060	365,430	374,010	382,804
Cash collected during the period	308,984	316,666	324,546	332,629	340,922	348,892	357,060	365,430	374,010	382,804
Cash collected from the previous period	0	0	0	0	0	0	0	0	0	0
Cash collected	**308,984**	**316,666**	**324,546**	**332,629**	**340,922**	**348,892**	**357,060**	**365,430**	**374,010**	**382,804**
Opening accounts receivable	0	0	0	0	0	0	0	0	0	0
Ending accounts receivable	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Table 4.28: Movement and balances of accounts payable during years of the study

Accounts Payable	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Operating expenses	95,734	109,482	112,075	114,732	117,455	120,191	122,994	125,866	128,809	131,825
Cash paid during the period	87,756	100,359	102,735	105,171	107,667	110,175	112,745	115,378	118,075	120,840
Cash paid from the previous period	0	7,978	9,124	9,340	9,561	9,788	10,016	10,250	10,489	10,734
Cash Paid	**87,756**	**108,336**	**111,859**	**114,511**	**117,228**	**119,963**	**122,761**	**125,627**	**128,564**	**131,574**
Opening accounts payable	0	7,978	9,124	9,340	9,561	9,788	10,016	10,250	10,489	10,734
Ending accounts payable	**7,978**	**9,124**	**9,340**	**9,561**	**9,788**	**10,016**	**10,250**	**10,489**	**10,734**	**10,985**

Table 4.29: End of period inventory during years of the study

End pf Period Inventory	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Cost of raw materials	46,860	47,957	49,081	50,233	51,415	52,625	53,867	55,140	56,446	57,785
	8%	8%	8%	8%	8%	8%	8%	8%	8%	8%
Ending inventory of raw materials	**3,905**	**3,996**	**4,090**	**4,186**	**4,285**	**4,385**	**4,489**	**4,595**	**4,704**	**4,815**

The following table shows the statement of financial position of the Project during the years of study in JD:

Table 4.30: Statement of Financial Position

Description	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Assets										
Current Assets										
Cash	542	(118,081)	(239,363)	(362,461)	(487,470)	(614,951)	(626,434)	(641,804)	(661,292)	(685,140)
Inventory	3,905	3,996	4,090	4,186	4,285	4,385	4,489	4,595	4,704	4,815
Accounts receivable	0	0	0	0	0	0	0	0	0	0
Total Current Assets	**4,447**	**(114,085)**	**(235,273)**	**(358,275)**	**(483,185)**	**(610,566)**	**(621,945)**	**(637,209)**	**(656,588)**	**(680,324)**
Non-current Assets										
Fixed Assets (at Net)	1,104,747	1,070,847	1,036,418	1,001,434	965,868	929,689	892,867	855,371	817,166	778,217
Total Non-current Assets	**1,104,747**	**1,070,847**	**1,036,418**	**1,001,434**	**965,868**	**929,689**	**892,867**	**855,371**	**817,166**	**778,217**
Total Assets	**1,109,194**	**956,762**	**801,145**	**643,160**	**482,683**	**319,123**	**270,922**	**218,162**	**160,578**	**97,892**
Liabilities										
Current Liabilities										
Accounts payable	7,978	9,124	9,340	9,561	9,788	10,016	10,250	10,489	10,734	10,985
Current part of the loan	83,236	91,143	99,802	109,283	119,665	0	0	0	0	0
Total Current Liabilities	**91,214**	**100,267**	**109,142**	**118,844**	**129,453**	**10,016**	**10,250**	**10,489**	**10,734**	**10,985**
Non-current Liabilities										
Long-term Loans	419,894	328,750	228,948	119,665	0	0	0	0	0	0
Total long-term liabilities	**419,894**	**328,750**	**228,948**	**119,665**	**0**	**0**	**0**	**0**	**0**	**0**
Total Liabilities	**511,108**	**429,017**	**338,090**	**238,509**	**129,453**	**10,016**	**10,250**	**10,489**	**10,734**	**10,985**
Owner's Equity										
Shares of members	754,695	754,695	754,695	754,695	754,695	754,695	754,695	754,695	754,695	754,695
Compulsory reserve	0	0	0	0	0	0	0	0	0	0
Retained profit (loss)	(156,608)	(226,950)	(291,639)	(350,044)	(401,465)	(445,588)	(494,022)	(547,022)	(604,851)	(667,788)
Total Owner's Equity	598,086	527,744	463,055	404,650	353,230	309,107	260,672	207,673	149,844	86,907
Total Liabilities and Owner's Equity	**1,109,194**	**956,762**	**801,145**	**643,160**	**482,683**	**319,123**	**270,922**	**218,162**	**160,578**	**97,892**

4.10.2 Statement of Expected Cash Flows

The following table shows the Project's statement of expected cash flows, where cash flows are positive throughout the years of study, except for the third to seventh years, which indicate the need for external borrowing to cover the expected cash deficit:

Table 4.31: Statement of Expected Cash Flows

Currency (JD)	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year
Cash flows from operating activities										
Net profit (loss)	(156,608)	(70,342)	(64,689)	(58,405)	(51,421)	(44,123)	(48,435)	(52,999)	(57,829)	(62,937)
Non-cash adjustments										
Bank interests	47,797	39,890	31,231	21,750	11,368	0	0	0	0	0
Depreciations	42,552	43,514	44,523	45,583	46,696	47,865	49,092	50,380	51,733	53,153
Operating cash flows before changes in working capital	(66,259)	13,062	11,065	8,928	6,644	3,742	657	(2,619)	(6,096)	(9,783)
Shortage (Excess) in inventory	(3,905)	(91)	(94)	(96)	(98)	(101)	(103)	(106)	(109)	(112)
Shortage (Excess) in accounts receivable	0	0	0	0	0	0	0	0	0	0
Shortage (Excess) in accounts payable	7,978	1,146	216	221	227	228	234	239	245	251
Changes in working capital	4,073	1,054	122	125	128	127	130	133	136	140
Net cash flows (used) resulted from operating activities	(62,186)	14,116	11,188	9,054	6,772	3,869	787	(2,486)	(5,960)	(9,644)
Cash flows from investment activities										
(Purchase) of fixed assets	(1,147,299)	(9,614)	(10,095)	(10,599)	(11,129)	(11,686)	(12,270)	(12,884)	(13,528)	(14,204)
Net cash flows (used) resulted from investment activities	(1,147,299)	(9,614)	(10,095)	(10,599)	(11,129)	(11,686)	(12,270)	(12,884)	(13,528)	(14,204)
Cash flows from financing activities										
Capital	754,695									
Repayment of loan	0	(83,236)	(91,143)	(99,802)	(109,283)	(119,665)	0	0	0	0
Bank interests	(47,797)	(39,890)	(31,231)	(21,750)	(11,368)	0	0	0	0	0
Loans	503,130	0	0	0	0	0	0	0	0	0
Net cash flows (used) resulted from financing activities	1,210,027	(123,126)	(122,375)	(121,552)	120,651)	(119,665)	0	0	0	0
Net excess (shortage) in cash	542	(118,624)	(121,282)	(123,098)	(125,009)	(127,482)	(11,483)	(15,370)	(19,488)	(23,848)
Opening cash flows	0	542	(118,081)	(239,363)	(362,461)	(487,470)	(614,951)	(626,434)	(641,804)	(661,292)
Ending cash flows	542	(118,081)	(239,363)	(362,461)	(487,470)	(614,951)	(626,434)	(641,804)	(661,292)	(685,140)

4.11 Financial Ratios and Profitability

In order to reach to the statement of discounted cash flows, the discount coefficient must be calculated, where there is more than one method to calculate it, but in this study the Weighted Average Cost of Capital (WACC) was used as a discount coefficient to calculate the discounted cash flows and net current value of investment.

The companies financing structure relies on owner's equity and loans. Therefore, the discount rate should be adjusted according to WACC. This is based on the following assumptions:

Table 4.32: Assumptions of Financial Ratios and Profitability

Risk Allowance	
Revenue rate on risk-free investments (1)	5.80%
Revenue to maturity of debts (2)	9.50%
Market risk allowance (3)	13.20%
Income tax rate	5%
Beta "Systemic Risk" (4)	0.84%
Growth rate	3%

(1) Source: Central Bank of Jordan

(2) Source: Central Bank of Jordan

(3) Source: Report Damodaran's County Default Spreads and Risk Premiums

(4) Source: Damodoran Beta by Sector

According, the WACC of the Project is 12.17%, as shown in the following table:

Table 4.33: Weighted Average Cost of Capital (WACC)

Weighted Average Cost of Capital	
Revenue rate on risk-free investments	5.80%
Revenue to maturity of debts	9.50%
Market risk allowance	13.20%
Income tax rate	5%
Beta "Systemic Risk"	0.84%
Owners' equity	754,695
Value of loans	503,130
Loans	
Cost of borrowing before taxes	9.50%
Cost of borrowing after taxes	9.03%
Value of loan	503,130
Percentage of loan	40%
Owner's equity	
Cost of owner' equity	16.9%
Value of owners' equity	754.695
Percentage of owners' equity	60%
Total	
Project's value	1,257,825
Project's percentage	100%
Weighted Average Cost of Capital	13.74%

Based on the above, the following table shows the net expected free cash flows statement of the Project:

Table 4.34: Statement of Net Free Cash Flows

Currency (JD)	0	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year	
Income before taxes and interests		(16,411)	(30,452)	(33,458)	(36,655)	(40,053)	(44,123)	(48,435)	(52,999)	(57,829)	(62,937)	
Income tax		0	0	0	0	0	0	0	0	0	0	
Net Profit		**(16,411)**	**(30,452)**	**(33,458)**	**(36,655)**	**(40,053)**	**(44,123)**	**(48,435)**	**(52,999)**	**(57,829)**	**(62,937)**	**Remaining value**
Adjustments												
Depreciations		42,552	43,514	44,523	45,583	46,696	47,865	49,092	50,380	51,723	53,153	
Changes in working capital		4,073	1,054	122	125	128	127	130	133	136	140	
Additions of fixed assets and capital		0	(9,614)	(10,095)	(10,599)	(11,129)	(11,686)	(12,270)	(12,884)	(13,528)	(14,204)	
Net free cash flows	**(1,257,825)**	**30,214**	**4,502**	**1,093**	**(1,546)**	**(4,357)**	**(7,817)**	**(11,483)**	**(15,370)**	**(19,488)**	**(23,848)**	**(228,649)**

Table 4.35: Net Cash Flows (Return on Investment)

Net Cash Flows	0	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year	Remaining value
Net free cash flows	(1,257,825)	30,214	4,502	1,093	(1,546)	(4,357)	(7,817)	(11,483)	(15,370)	(19,488)	(23,848)	(228,649)
Discount coefficient	1.00	0.88	0.77	0.68	0.60	0.53	0.46	0.41	0.36	0.31	0.28	
Net current value of cash flows	**(1,257,825)**	**26,564**	**3,480**	**743**	**(924)**	**(2,289)**	**(3,610)**	**(4,662)**	**(5,486)**	**(6,116)**	**(6,580)**	

The following table shows the expected net free cash flows for owners' equity:

Table 4.36: Statement of Free Net Cash Flows (Return on Equity)

Return on Equity (JD)	0	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	Remaining value
Net Income		(64,208)	(70,342)	(64,689)	(58,405)	(51,421)	(44,123)	(48,435))	(52,999)	(57,829)	(62,937)	
Net Income		**(64,208)**	**(70,342)**	**(64,689)**	**(58,405)**	**(51,421)**	**(44,123)**	**(48,435))**	**(52,999)**	**(57,829)**	**(62,937)**	
Adjustments												
Depreciation		42,552	43,514	44,523	45,583	46,696	47,865	49,092	50,380	51,733	53,153	
Changes in working capital		4,073	1,054	122	125	128	127	130	133	136	140	
Settlement of loan		0	(83,236)	(91,143)	(99,802)	(109,283)	(119,665)	0	0	0	0	
Additions of fixed assets and capital		0	(9,614)	(10,095)	(10,599)	(11,129)	(11,686)	(12,270)	(12,884)	(13,528)	(14,204)	
Net free cash flows	**(754,695)**	**(17,583)**	**(118,624)**	**(121,282)**	**(123,098)**	**(125,009)**	**(127,482)**	**(11,483)**	**(15,370)**	**(19,488)**	**(23,848)**	**(228,649)**

Table 4.37: Net Cash Flows (Return on Equity)

Net Cash Flows	0	1st year	2nd year	3rd year	4th year	5th year	6th year	7th year	8th year	9th year	10th year	Remaining value
Net free cash flows	(754,695)	(17,583)	(118,624)	(121,282)	(123,098)	(125,009)	(127,482)	(11,483)	(15,370)	(19,488)	(23,848)	(228,649)
Discount coefficient	1.00	0.88	0.77	0.68	0.60	0.53	0.46	0.41	0.36	0.31	0.28	
Net current value of cash flows	**(754,695)**	**(15,459)**	**(91,690)**	**(82,418)**	**(73,545)**	**(65,663)**	**(58,871)**	**(4,662)**	**(5,486)**	**(6,116)**	**(6,580)**	

Furthermore, the results of expected financial ratios' analysis and profitability can be seen in the following table:

Table 4.38: Expected financial ratios and profitability

Expected financial ratios and profitability	On Investment	On Owners' Equity
Discount rate	13.74%	13.74%
Net current value of cash flows	(1,256,704)	(1,165,186)
Capital recovery period	More than 10	More than 10
Internal rate of return (IRR)	Cannot be counted	Cannot be counted

Based on the results of the financial analysis, it was concluded that the Project is economically profitable and feasible, since the net current value of the Project is negative, which is JD (1,256,704) and the internal rate of return of the Project is lower than the discount rate.

Supplement: Details of Machinery, Equipment, Furniture and Fixtures

Machinery and Equipment	Furniture and Fixtures
Chalets Machinery and Equipment	**Chalets Furniture and Fixtures**
Large dishes	Bed small size (2/chalet)
Small dishes	Cupboards small size(1/chalet)
Forks	Wooden table (1/chalet)
Knife	Large mirror (1/chalet)
Large spoons	Toilet mirror (1/chalet)
Small spoons	Trash basket (1/chalet)
Coffee cup	Trash basket for toilet (1/chalet)
Coffee plate	Median wooden table (1/chalet)
Water glass	Wooden chairs (2/chalet)
	Table lamp (1/chalet)
	Sleeping mattress (3/chalet)
	Hand towel 50*80 (2/chalet)
	Toilet carpet 50*80 (2/chalet)
	Towel 57*152
	Face towel 30*30
	Bathrobe (2/chalet)
	Pillow 50*90 (2/chalet)
	Pillow cover 55*95 (2/chalet)
	Small bed mattress (2/chalet)
	Small bed coverlet 200*280 (2/chalet)

Machinery and Equipment	Furniture and Fixtures
	Small bed cover (2/chalet)
	Men's clothing hanger (2/chalet)
	Women's clothing hanger (2/chalet)
	Satin clothing hanger (2/chalet)
	Safety locks (2/chalet)
	Curtains (4 m/chalet)
Restaurant Machinery and Equipment	**Restaurant Furniture and Fixtures**
Gas cooker 4 outlets	Chair (4 chairs per table)
Flat grill	Table
Salamander plates	Sanitations
Deep fair	Accounting Office (cashier office)
Side refrigerator -BBQ	Cashier
Stand refrigerator - BBQ	
Vegetable refrigerator	
Preparation refrigerator	
Grill Charcoal	
Cooking tools and appliances	
Dishwasher	
Washing basin	
Washing basin battery	
Large dishes	
Small dishes	
Fork	

Machinery and Equipment	Furniture and Fixtures
Knife	
Large spoons	
Small spoons	
Coffee cup	
Coffee plate	
Water glasses	

Supplement: Notice

Notice

This Preliminary Feasibility Study report (the "Report" or "Study" was presented to the Local Development Division in the Municipality of Azraq. The sole objective of this study is to assist the Municipality in assessing the financial feasibility and profitability of this project and demonstrate the various aspects and economic results, associated with the Project.

The anticipated financial information included in this report is based on a number of assumptions and estimations, which although considered logical by the financial advisor, they are fundamentally vulnerable to business, economic and competitiveness uncertainties, all of which are difficult to predict and many beyond the control of the study authors. Accordingly, there can be no guarantee that the expected results will be realized, or that actual results will not be significantly greater or lower than expectations. As for the accuracy or completeness of the information contained in this report (including the expected results or estimates and assumptions on which it is built), the authors of study expressly deny any part or all of the liability that maybe based on such information, errors or omissions about it.

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